

House File 1012

H-1248

1 Amend House File 1012 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 NATURAL HAZARD MITIGATION FINANCING PROGRAM

6 Section 1. NEW SECTION. 16.230 Definitions.

7 1. "*Department*" means the department of homeland security
8 and emergency management.

9 2. "*Fund*" means the natural hazard mitigation revolving loan
10 fund created in section 29D.4.

11 3. "*Loan recipient*" means the same as defined in section
12 29D.2.

13 4. "*Program*" means the natural hazard mitigation financing
14 program created in section 29D.3.

15 5. "*Project*" means the same as defined in section 29D.2.

16 Sec. 2. NEW SECTION. 16.231 Funds and accounts — program
17 funds and accounts not part of state general fund.

18 1. The department, in consultation with the authority,
19 may establish and maintain funds or accounts determined to
20 be necessary to carry out the purposes of chapter 29D and
21 shall provide for the funding, administration, investment,
22 restrictions, and disposition of the funds and accounts.
23 Any moneys appropriated to the department and the authority
24 for purposes of paying the costs and expenses associated
25 with the administration of the program shall be administered
26 as determined by the department in consultation with the
27 authority.

28 2. The funds or accounts held by the department or the
29 authority, or a trustee acting on behalf of the department or
30 the authority pursuant to a trust agreement related to the
31 program, shall not be considered part of the general fund of
32 the state, are not subject to appropriation for any other
33 purpose by the general assembly, and in determining a general
34 fund balance shall not be included in the general fund of the
35 state, but shall remain in the funds and accounts maintained

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

1 by the department or the authority, or a trustee pursuant to a
2 trust agreement. Funds and accounts held by the department or
3 the authority, or a trustee acting on behalf of the department
4 or the authority pursuant to a trust agreement related to the
5 program, are separate dedicated funds and accounts under the
6 administration and control of the department in consultation
7 with the authority.

8 Sec. 3. NEW SECTION. **16.232 Program funding — bonds and**
9 **notes.**

10 1. The authority shall cooperate with the department in the
11 creation, administration, and financing of the program.

12 2. The authority may issue bonds and notes for the purpose
13 of funding the fund and the state matching funds required
14 pursuant to the federal Robert T. Stafford Disaster Relief
15 and Emergency Assistance Act, Pub. L. No. 93-288, as amended,
16 42 U.S.C. §5121 et seq. The authority may enter into one or
17 more loan agreements or purchase agreements with one or more
18 bondholders or noteholders containing the terms and conditions
19 of the repayment of, and the security for, each bond or note.
20 The authority and each bondholder or noteholder, or a trustee
21 agent designated by the authority, may enter into an agreement
22 to provide for any of the following:

23 a. That the proceeds of the bond or note and the investments
24 of the proceeds may be received, held, and disbursed by the
25 authority or by a trustee or agent designated by the authority.

26 b. That the bondholder or noteholder, or a trustee or
27 agent designated by the authority, may collect, invest, and
28 apply the amount payable under the loan agreement or any other
29 instruments securing the debt obligations under the loan
30 agreement.

31 c. That the bondholder or noteholder may enforce the
32 remedies provided in the loan agreement or other instruments on
33 the bondholder's or noteholder's behalf without the appointment
34 or designation of a trustee. If there is a default in the
35 principal of, or interest on, the bond or note or in the

1 performance of any agreement contained in the loan agreement or
2 other instrument, the payment or performance may be enforced in
3 accordance with the loan agreement or other instrument.

4 *d.* Other terms and conditions as deemed necessary or
5 appropriate by the authority.

6 3. Chapter 16, except to the extent inconsistent with this
7 section, shall apply to bonds or notes issued, and powers
8 granted to the authority, under this section. Section 16.28,
9 subsection 4, shall not apply to this section.

10 4. All bonds or notes issued by the authority in connection
11 with the program are exempt from taxation by this state and the
12 interest on the bonds or notes is exempt from state income tax.

13 **Sec. 4. NEW SECTION. 16.233 Security — reserve funds —**
14 **pledges — nonliability.**

15 1. The authority may provide in the resolution, trust
16 agreement, or other instrument authorizing the issuance of
17 bonds or notes pursuant to chapter 29D that the principal of,
18 premium, and interest on the bonds or notes are payable from
19 any of the following and may pledge the same to the authority's
20 bonds or notes:

21 *a.* The income and receipts or other moneys derived from the
22 projects financed with the proceeds of the bonds or notes.

23 *b.* The income and receipts or other moneys derived from
24 designated projects whether or not the projects are financed in
25 whole or in part with the proceeds of the bonds or notes.

26 *c.* The amounts on deposit in the fund.

27 *d.* The amounts payable to the authority by loan recipients
28 pursuant to loan agreements with loan recipients.

29 *e.* Any other funds or accounts established by the authority
30 in connection with the program or the sale and issuance of the
31 authority's bonds or notes.

32 2. The authority may establish reserve funds to secure
33 one or more issues of its bonds or notes. The authority may
34 deposit in a reserve fund established under this subsection
35 the proceeds of the sale of the authority's bonds or notes and

1 other moneys which are made available from any other source.
2 3. It is the intention of the general assembly that a pledge
3 made in respect of bonds or notes shall be valid and binding
4 from the time the pledge is made, that the moneys or property
5 so pledged and received after the pledge by the authority
6 shall immediately be subject to the lien of the pledge without
7 physical delivery or further act, and that the lien of the
8 pledge shall be valid and binding as against all parties having
9 claims of any kind in tort, contract, or otherwise against
10 the authority whether or not the parties have notice of the
11 lien. Neither the resolution, trust agreement, nor any other
12 instrument by which a pledge is created needs to be recorded or
13 filed under the Iowa uniform commercial code, chapter 554, to
14 be valid, binding, or effective against the parties.

15 4. Neither the members of the authority nor persons
16 executing the bonds or notes are liable personally on the bonds
17 or notes or are subject to personal liability or accountability
18 by reason of the issuance of the bonds or notes.

19 5. The bonds or notes issued by the authority are not
20 an indebtedness or other liability of the state or of a
21 political subdivision of the state within the meaning of any
22 constitutional or statutory debt limitations but are special
23 obligations of the authority, and are payable solely from
24 the income and receipts or other funds or property of the
25 authority, and the amounts on deposit in the revolving loan
26 funds, and the amounts payable to the authority under the
27 authority's loan agreements with loan recipients to the extent
28 that the amounts are designated in the resolution, trust
29 agreement, or other instrument of the authority authorizing the
30 issuance of the bonds or notes as being available as security
31 for such bonds or notes. The authority shall not pledge the
32 faith or credit of the state or of a political subdivision of
33 the state to the payment of any bonds or notes. The issuance
34 of any bonds or notes by the authority does not directly,
35 indirectly, or contingently obligate the state or a political

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 subdivision of the state to apply moneys from, or levy or
2 pledge any form of taxation to the payment of the bonds or
3 notes.

4 Sec. 5. NEW SECTION. **29D.1 Short title.**

5 This chapter shall be known and may be cited as the "*Natural*
6 *Hazard Mitigation Financing Program*".

7 Sec. 6. NEW SECTION. **29D.2 Definitions.**

8 As used in this chapter, unless the context otherwise
9 requires:

10 1. "*Authority*" means the Iowa finance authority created in
11 section 16.1A.

12 2. "*Cost*" means all costs or indebtedness incurred by a loan
13 recipient and determined by the department as reasonable and
14 necessary for carrying out all work necessary or incidental to
15 the accomplishment of a project.

16 3. "*Department*" means the department of homeland security
17 and emergency management.

18 4. "*Director*" means the director of the department of
19 homeland security and emergency management.

20 5. "*Eligible entity*" means a person that is eligible under
21 the STORM Act to receive a loan under the program.

22 6. "*Fund*" means the natural hazard mitigation revolving loan
23 fund created in section 29D.4.

24 7. "*Loan recipient*" means an eligible entity that has
25 received a loan from the fund.

26 8. "*Municipality*" means a city, county, sanitary district,
27 state agency, or other governmental body or corporation, or any
28 combination of two or more governmental bodies or corporations
29 acting jointly, in connection with a project.

30 9. "*Private entity*" means a corporation, limited liability
31 company, trust, estate, partnership, association, or any
32 other legal entity or a legal representative, agent, officer,
33 employee, or assignee of such entity. "*Private entity*" does not
34 include any of the following:

35 a. An individual, municipality, or city utility as that term

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

5/92

1 is defined in section 362.2.

2 **b.** A public water supply system as defined in section
3 455B.171.

4 **c.** A qualified entity as defined in section 384.84,
5 subsection 2.

6 10. "*Program*" means the natural hazard mitigation financing
7 program created in section 29D.3.

8 11. **a.** "*Project*" means an activity or set of activities,
9 in accordance with the limitations set forth in the STORM Act,
10 that mitigate the impact of natural hazards, including but not
11 limited to:

12 (1) Drought and prolonged episodes of intense heat.

13 (2) Severe storms, including tornadoes, windstorms, and
14 severe winter storms.

15 (3) Wildfires.

16 (4) Earthquakes.

17 (5) Flooding.

18 (6) Shoreline erosion.

19 (7) High water levels.

20 (8) Storm surges.

21 **b.** "*Project*" may include but is not limited to any of the
22 following:

23 (1) The construction, repair, or replacement of a
24 nonfederal levee or other flood control structure, provided
25 that the administrator of the federal emergency management
26 agency, in consultation with the United States army corps of
27 engineers, if appropriate, requires an eligible entity to
28 determine that such levee or other flood control structure is
29 designed, constructed, and maintained in accordance with sound
30 engineering practices and standards equivalent to the purpose
31 for which such levee or structure is intended.

32 (2) Zoning and land use planning changes.

33 (3) Establishing and enforcing building codes.

34 12. "*Safeguarding tomorrow through ongoing risk mitigation*
35 *Act*", or "*STORM Act*", means the federal Robert T. Stafford

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

6/92

1 Disaster Relief and Emergency Assistance Act, Pub. L. No.
2 93-288, as amended, 42 U.S.C. §5121 et seq.

3 Sec. 7. NEW SECTION. 29D.3 Natural hazard mitigation
4 financing program.

5 1. The natural hazard mitigation financing program is
6 created for the purpose of making loans available to eligible
7 entities to finance all or part of the costs of a project.

8 2. The program shall be a joint and cooperative undertaking
9 of the department and the authority. The department and
10 the authority may enter into any agreements, documents,
11 instruments, certificates, data, or information as necessary
12 for the operation, administration, and financing of the program
13 consistent with this chapter, chapter 16, subchapter X, part
14 11, the STORM Act, the rules promulgated under chapter 17A by
15 the department in consultation with the authority, and any
16 other applicable federal or state laws. The authority and the
17 department may act to conform the program to the applicable
18 guidance and regulations adopted by the federal emergency
19 management agency.

20 Sec. 8. NEW SECTION. 29D.4 Natural hazard mitigation
21 revolving loan fund.

22 1. A natural hazard mitigation revolving loan fund is
23 created in the state treasury under the control of the
24 department in consultation with the authority. The revolving
25 loan fund is a separate dedicated fund under the administration
26 and control of the department in consultation with the
27 authority and shall be subject to section 16.31. Moneys
28 on deposit in the revolving loan fund shall be invested by
29 the treasurer of state in cooperation with the department,
30 in consultation with the authority, and the income from the
31 investments shall be credited to and deposited in the revolving
32 loan fund.

33 2. a. The fund shall consist of moneys appropriated by
34 the general assembly, moneys received by the fund through the
35 federal emergency management agency and the STORM Act, moneys

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 received as repayment of loan principal and interest from loans
2 paid for by the fund, and all other moneys received by the fund
3 from any other source. Notwithstanding section 8.33, moneys in
4 the fund that remain unencumbered or unobligated at the close
5 of the fiscal year shall not revert but shall remain available
6 for expenditure for the purposes designated. Notwithstanding
7 section 12C.7, subsection 2, interest or earnings on moneys in
8 the fund shall be credited to the fund.

9 **b.** Moneys in the fund are appropriated to the department to
10 provide loans to eligible entities pursuant to section 29D.9,
11 and for administration of the program as permitted under the
12 STORM Act. Moneys in the fund shall not be used to provide a
13 loan to a private entity for the acquisition of real property.
14 Moneys in the fund shall not be considered part of the general
15 fund of the state subject to appropriation for any other
16 purpose by the general assembly, and in determining a general
17 fund balance, shall not be included in the general fund of
18 the state subject to section 16.31, insofar as section 16.31
19 complies with the STORM Act.

20 **Sec. 9. NEW SECTION. 29D.5 Director — powers and duties.**

21 The director shall do all of the following:

22 1. Process and review each intended use plan application
23 to determine if the intended use plan application meets the
24 eligibility requirements promulgated by the department by rule,
25 and approve or deny the application.

26 2. Process and review all documents relating to the
27 planning, design, construction, and operation of each project.

28 3. Prepare and process, in coordination with the authority,
29 documents relating to the administration of the program.

30 4. Prepare an annual budget for administration of the
31 program.

32 5. Receive program fees as determined in conjunction with
33 the authority.

34 6. Perform other acts and assume other duties and
35 responsibilities necessary for the administration of the

1 program and compliance with the STORM Act.

2 Sec. 10. NEW SECTION. **29D.6 Intended use plans —**
3 **capitalization grants — accounting.**

4 1. For the fiscal year beginning July 1, 2025, and each
5 fiscal year thereafter, the department may prepare and deliver
6 intended use plans to, and enter into capitalization grant
7 agreements with, the administrator of the federal emergency
8 management agency under the terms and conditions set forth
9 in the STORM Act and federal regulations adopted pursuant to
10 the STORM Act, and may accept capitalization grants for the
11 fund in accordance with payment schedules established by the
12 administrator. All payments from the administrator shall be
13 deposited into the fund.

14 2. The department, in consultation with the authority,
15 shall establish fiscal controls and accounting procedures
16 during appropriate accounting periods for payments received for
17 deposit into, and disbursements made from, the fund, and to
18 fund balances at the beginning and end of an accounting period.

19 Sec. 11. NEW SECTION. **29D.7 Authority — loan application**
20 **review and approval.**

21 1. The department and the authority shall review each
22 loan application to determine if the applicant is an eligible
23 entity and qualifies for a loan pursuant to eligibility
24 requirements established by rule promulgated by the department
25 and the authority, and in accordance with the intended use plan
26 applications approved by the director under section 29D.6.

27 2. The authority, in cooperation with the department, shall
28 determine the interest rate and repayment terms for each loan
29 made under the program and the authority shall enter into a
30 loan agreement with each loan recipient in compliance with
31 the Clean Water Act as defined in section 455B.291, the Safe
32 Drinking Water Act as defined in section 455B.291, the STORM
33 Act, and any other applicable state or federal law.

34 3. The authority may charge loan recipients fees and assess
35 costs as deemed necessary by the authority for the continued

1 operation of the program. Fees and costs collected pursuant
2 to this subsection shall be deposited in the fund described in
3 section 29D.4.

4 Sec. 12. NEW SECTION. **29D.8 Loans to eligible entities.**

5 1. Moneys deposited in the fund shall be used for the
6 primary purpose of making loans to eligible entities to finance
7 eligible costs of projects in accordance with the intended
8 use plans prepared and delivered to the administrator of the
9 federal emergency management system by the department under
10 section 29D.6. The loan recipients and the purpose and amount
11 of the loans shall be determined by the director, in compliance
12 with the STORM Act and other applicable federal law, and any
13 resolution, agreement, indenture, or other document of the
14 authority, and rules adopted by the authority relating to any
15 bonds, notes, or other obligations issued for the program which
16 may be applicable to the loan.

17 2. Notwithstanding any provision of this chapter to the
18 contrary, moneys received under the federal American Recovery
19 and Reinvestment Act of 2009, Pub. L. No. 111-5, and deposited
20 in the fund may be used in any manner permitted or required by
21 applicable federal law.

22 Sec. 13. NEW SECTION. **29D.9 Rules.**

23 The department, in consultation with the authority, shall
24 adopt rules pursuant to chapter 17A to administer this chapter.

25 Sec. 14. Section 422.7, subsection 2, Code 2025, is amended
26 by adding the following new paragraph:

27 NEW PARAGRAPH. u. Natural hazard mitigation financing
28 program bonds pursuant to section 16.232, subsection 4.

29 Sec. 15. CODE EDITOR DIRECTIVE. The Code editor shall
30 designate sections 16.230 through 16.233, as enacted in this
31 division of this Act, as part 11 of chapter 16, subchapter X,
32 entitled "Natural Hazard Mitigation Financing Program".

33 DIVISION II

34 DISASTER RECOVERY HOUSING ASSISTANCE PROGRAM

35 Sec. 16. Section 16.57B, subsection 1, paragraph a, Code

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

10/92

1 2025, is amended to read as follows:

2 *a. "Disaster-affected home"* means a primary residence
3 that is destroyed or damaged due to a natural disaster that
4 occurs on or after June 16, 2021, and the primary residence
5 is located in a county that is the subject of a state of
6 disaster emergency proclamation by the governor that authorizes
7 disaster recovery housing assistance. The state of disaster
8 emergency proclamation shall specify if disaster recovery
9 housing assistance is available to homeowners, renters, or both
10 homeowners and renters.

11 Sec. 17. Section 16.57B, subsection 1, Code 2025, is amended
12 by adding the following new paragraph:

13 NEW PARAGRAPH. *Ob. "Financial assistance"* means assistance
14 provided only from the funds, rights, and assets legally
15 available to the authority pursuant to this chapter and
16 includes but is not limited to assistance in the form of
17 grants, loans, and forgivable loans.

18 Sec. 18. Section 16.57B, subsection 2, paragraph a,
19 subparagraph (1), Code 2025, is amended to read as follows:

20 (1) A disaster recovery housing assistance fund is created
21 within the authority. The moneys in the fund shall be used by
22 the authority ~~for the development and operation of a forgivable~~
23 ~~loan and grant program for~~ to award financial assistance to
24 homeowners and renters with disaster-affected homes, and for
25 the eviction prevention program pursuant to [section 16.57C](#).

26 Sec. 19. Section 16.57B, subsection 2, paragraph c, Code
27 2025, is amended to read as follows:

28 *c.* The authority shall not use more than five percent of the
29 moneys ~~in deposited into the fund on July 1 of a fiscal year~~
30 under paragraph "b" for purposes of administrative costs and
31 other program support ~~during the fiscal year.~~

32 Sec. 20. Section 16.57B, subsection 3, paragraph a, Code
33 2025, is amended to read as follows:

34 *a.* The authority shall establish and administer a disaster
35 recovery housing assistance program and shall use moneys in the

1 fund to award ~~forgivable loans~~ financial assistance to eligible
2 homeowners and ~~grants~~ to eligible renters of disaster-affected
3 homes. Moneys in the fund may be expended following a state
4 of disaster emergency proclamation by the governor pursuant
5 to section 29C.6 that authorizes disaster recovery housing
6 assistance. The governor, by state of disaster emergency
7 proclamation, shall specify if disaster recovery housing
8 assistance is available to homeowners, renters, or both
9 homeowners and renters.

10 Sec. 21. Section 16.57B, subsections 4, 5, 6, and 7, Code
11 2025, are amended to read as follows:

12 4. *Registration required.* ~~To be considered for a forgivable~~
13 ~~loan or grant under the program, a~~ A homeowner or renter must
14 may register for the disaster case advocacy program established
15 pursuant to section 29C.20B. The disaster case manager may
16 refer the homeowner or renter to the appropriate local program
17 administrator.

18 5. *Homeowners.*

19 a. To be eligible for ~~a forgivable loan~~ financial assistance
20 under the program, all of the following requirements shall
21 apply:

22 (1) The homeowner's disaster-affected home must have
23 sustained damage greater than the damage that is covered by the
24 homeowner's property and casualty insurance policy insuring the
25 home plus any other state or federal disaster-related financial
26 assistance that the homeowner is eligible to receive.

27 (2) A local official must either deem the disaster-affected
28 home suitable for rehabilitation or damaged beyond reasonable
29 repair.

30 (3) The disaster-affected home is not eligible for buyout by
31 the county or city where the disaster-affected home is located,
32 or the disaster-affected home is eligible for a buyout by the
33 county or city where the disaster-affected home is located,
34 but the homeowner is requesting ~~a forgivable loan~~ financial
35 assistance for the repair or rehabilitation of the homeowner's

1 disaster-affected home in lieu of a buyout.

2 (4) ~~Assistance~~ Financial assistance under the program must
3 not duplicate benefits provided by any local, state, or federal
4 disaster recovery assistance program.

5 ~~b. If a homeowner is referred to the authority or to a~~
6 ~~local program administrator by the disaster case manager of~~
7 ~~the homeowner, the~~ The authority may award a forgivable loan
8 financial assistance to the eligible homeowner for any of the
9 following purposes:

10 (1) Repair or rehabilitation of the disaster-affected home.
11 The disaster-affected home to be repaired or rehabilitated
12 shall not be located in a one-hundred-year floodplain.

13 (2) (a) Down payment assistance on the purchase of
14 replacement housing, and the cost of reasonable repairs to be
15 performed on the replacement housing to render the replacement
16 housing decent, safe, sanitary, and in good repair.

17 (b) Replacement housing shall not be located in a
18 one-hundred-year floodplain.

19 (c) For purposes of this subparagraph, "*decent, safe,*
20 *sanitary, and in good repair*" means the same as described in 24
21 C.F.R. §5.703.

22 *c.* The authority shall determine the interest rate for the
23 any financial assistance awarded in the form of a loan or a
24 forgivable loan.

25 *d.* If a homeowner who has been awarded a loan or a
26 forgivable loan sells a disaster-affected home or replacement
27 housing for which the homeowner received the loan or forgivable
28 loan prior to the end of the loan term, the remaining principal
29 on the loan or forgivable loan shall be due and payable
30 pursuant to rules adopted by the authority.

31 6. *Renters.*

32 *a.* To be eligible for ~~a grant~~ financial assistance under the
33 program, all of the following requirements shall apply:

34 (1) A local program administrator either deems
35 the disaster-affected home of the renter suitable for

1 rehabilitation but unsuitable for current short-term
2 habitation, or the disaster-affected home is damaged beyond
3 reasonable repair.

4 (2) ~~Assistance~~ Financial assistance under the program must
5 not duplicate benefits provided by any local, state, or federal
6 disaster recovery assistance program.

7 ~~b. If a renter is referred to the authority or to a~~
8 ~~local program administrator by the disaster case manager of~~
9 ~~the renter, the~~ The authority may award a grant financial
10 assistance to the eligible renter to provide short-term
11 financial assistance for the payment of rent for replacement
12 housing.

13 7. *Report.* On or before January 31 of each year, or as part
14 of the annual report under [section 16.7](#), the authority shall
15 submit a report to the general assembly that identifies all of
16 the following for the calendar year immediately preceding the
17 year of the report:

18 a. The date of each state of disaster emergency proclamation
19 by the governor that authorized disaster recovery housing
20 assistance under [this section](#), and if disaster recovery housing
21 assistance was made available to homeowners, renters, or both
22 homeowners and renters.

23 b. The total number of ~~forgivable loans and grants~~ financial
24 assistance awards awarded.

25 c. The total number of ~~forgivable loans~~ financial assistance
26 awards, and the amount of each ~~loan~~ financial assistance award
27 awarded for repair or rehabilitation.

28 d. The total number of ~~forgivable loans~~ financial assistance
29 awards, and the amount of each ~~loan~~ financial assistance
30 award, awarded for down payment assistance on the purchase of
31 replacement housing and the cost of reasonable repairs to be
32 performed on the replacement housing to render the replacement
33 housing decent, safe, sanitary, and in good repair.

34 e. The total number of grants, and the amount of each grant,
35 awarded for rental assistance.

1 disaster recovery new housing grant that was applied for
2 between August 20, 2024, and December 31, 2024, and approved
3 and issued by the economic development authority.

4 *c.* This subsection is repealed January 1, 2028.

5 Sec. 25. EFFECTIVE DATE. This division of this Act, being
6 deemed of immediate importance, takes effect upon enactment.

7 Sec. 26. RETROACTIVE APPLICABILITY. This division of this
8 Act applies retroactively to tax years beginning on or after
9 January 1, 2024.

10 DIVISION IV

11 POST-LOSS ASSIGNMENT OF BENEFITS — RESIDENTIAL CONTRACTOR

12 Sec. 27. Section 507B.4, subsection 3, Code 2025, is amended
13 by adding the following new paragraph:

14 NEW PARAGRAPH. *v. Post-loss assignment of benefits.* Any
15 violation of section 515.137A by a residential contractor.

16 Sec. 28. Section 515.137A, subsection 2, Code 2025, is
17 amended by adding the following new paragraphs:

18 NEW PARAGRAPH. *0b. "Catastrophic disaster"* includes a major
19 disaster declaration by the president of the United States or a
20 state of disaster emergency proclamation by the governor.

21 NEW PARAGRAPH. *00b. "Consumer advocate"* means a consumer
22 advocate appointed pursuant to section 505.8, subsection 6,
23 paragraph "b", subparagraph (1).

24 NEW PARAGRAPH. *000b. "Post-loss assignment"* means any
25 instrument by which post-loss benefits, rights, or duties of
26 a named insured under a residential property and casualty
27 insurance policy are assigned or transferred to a residential
28 contractor. The post-loss assignment must only assign the
29 insurance proceeds a named insured is entitled to receive
30 from the named insured's insurer for the repair, replacement
31 construction, or reconstruction of the named insured's
32 property.

33 Sec. 29. Section 515.137A, subsections 3, 4, and 5, Code
34 2025, are amended by striking the subsections and inserting in
35 lieu thereof the following:

1 3. A residential contractor shall be prohibited from all of
2 the following under a post-loss assignment by a named insured
3 to the residential contractor:

4 a. Rebating or offering to rebate any portion of the named
5 insured's insurance deductible as an inducement for the named
6 insured to purchase a good or service.

7 b. Imposing an administrative fee on the named insured
8 for canceling the post-loss assignment, or imposing a fee to
9 process the insurance check or to interact with the named
10 insured's mortgage company.

11 c. Acting as a public adjuster without being licensed under
12 chapter 522C.

13 d. Receiving payments from the named insured's insurer
14 that are unrelated to the repair, replacement construction,
15 or reconstruction work on the covered insured's property,
16 including but not limited to all of the following:

17 (1) Additional living expenses.

18 (2) Loss of use.

19 (3) Loss of business income.

20 4. a. A post-loss assignment must include all of the
21 following:

22 (1) An itemized description of the work to be performed.

23 (2) An itemized description of the materials, labor, and
24 fees for the work to be performed.

25 (3) A total itemized amount to be paid for the work to be
26 performed.

27 (4) A statement that the residential contractor has made
28 no assurances that the claimed loss will be fully covered by
29 the named insured's insurance contract and shall include the
30 following notice in capitalized fourteen point type:

31 YOU ARE AGREEING TO GIVE UP CERTAIN RIGHTS YOU HAVE UNDER
32 YOUR INSURANCE POLICY. PLEASE READ AND UNDERSTAND THIS
33 DOCUMENT BEFORE SIGNING.

34 THE ITEMIZED DESCRIPTION OF THE WORK TO BE DONE SHOWN IN THIS
35 ASSIGNMENT FORM HAS NOT BEEN AGREED TO BY THE INSURER. THE

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 INSURER HAS THE RIGHT TO PAY ONLY FOR THE COST TO REPAIR OR
2 REPLACE DAMAGED PROPERTY CAUSED BY A COVERED PERIL. POST-LOSS
3 ASSIGNMENTS ARE SUBJECT TO THE AUTHORITY OF THE IOWA INSURANCE
4 DIVISION. YOU MAY FILE A COMPLAINT WITH THE DIVISION ON THE
5 DIVISION'S INTERNET SITE AT IID.IOWA.GOV OR CALL THE DIVISION
6 AT (877) 955-1212.

7 (5) In capitalized fourteen point type and located in the
8 immediate proximity of the space reserved in the assignment for
9 the signature of the named insured, the following notice:

10 YOU MAY CANCEL THIS POST-LOSS ASSIGNMENT FOR ANY REASON
11 WITHOUT PENALTY WITHIN FIVE (5) BUSINESS DAYS FROM THE LATER OF
12 THE DATE THE POST-LOSS ASSIGNMENT IS FULLY EXECUTED OR THE DATE
13 ON WHICH YOU RECEIVE A COPY OF THE FULLY EXECUTED POST-LOSS
14 ASSIGNMENT. IF MAILED, THE CANCELLATION MUST BE POSTMARKED
15 BEFORE THE FIVE (5) BUSINESS DAY DEADLINE.

16 YOU MUST CANCEL THE POST-LOSS ASSIGNMENT IN WRITING AND
17 THE CANCELLATION MUST BE DELIVERED TO (name and address
18 of residential contractor as provided by the residential
19 contractor). IF THE ASSIGNEE HAS NOT BEGUN SUBSTANTIALLY
20 PERFORMING WORK ON THE PROPERTY, YOU MAY CANCEL THIS POST-LOSS
21 ASSIGNMENT WITHOUT PENALTY AFTER AT LEAST THIRTY (30) CALENDAR
22 DAYS AFTER THE DATE WORK ON THE PROPERTY IS SCHEDULED TO
23 COMMENCE, OR AFTER AT LEAST THIRTY (30) CALENDAR DAYS AFTER
24 THE POST-LOSS ASSIGNMENT IS FULLY EXECUTED IF THE POST-LOSS
25 ASSIGNMENT DOES NOT CONTAIN A COMMENCEMENT DATE.

26 IF YOU CANCEL THIS POST-LOSS ASSIGNMENT, THE RESIDENTIAL
27 CONTRACTOR HAS UP TO TEN (10) BUSINESS DAYS TO RETURN TO YOU
28 ALL PAYMENTS OR DEPOSITS YOU HAVE MADE.

29 (6) A provision that requires the assignee to indemnify and
30 hold harmless the assignor from liabilities, damages, losses,
31 and costs, including but not limited to attorney fees related
32 to the loss claim.

33 b. A post-loss assignment shall not impair the interest of
34 a mortgagee listed on the declarations page of the property and
35 casualty insurance policy that is the subject of the post-loss

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

18/92

1 assignment. All mortgagees shall be named as a co-payee for
2 the payment of benefits under a property and casualty insurance
3 policy covering residential real estate.

4 *c.* A post-loss assignment shall only authorize a residential
5 contractor to be named as a co-payee, along with the named
6 insured and all mortgagees, for the payment of benefits under
7 a property and casualty insurance policy covering residential
8 real estate.

9 *d.* A post-loss assignment shall not prevent or inhibit
10 an insurer from communicating with the named insured or a
11 mortgagee listed on the declarations page of the property and
12 casualty insurance policy that is the subject of the post-loss
13 assignment.

14 *e.* An electronic copy of the fully executed post-loss
15 assignment shall be provided to the insurer of the residential
16 real estate, the named insured, and all mortgagees of the
17 damaged residential real estate within five business days after
18 execution of the post-loss assignment. A paper copy shall be
19 provided to the insurer, a named insured, and any mortgagee of
20 the damaged residential real estate within five business days
21 of a request by the insurer, the named insured, or a mortgagee.

22 *f.* A residential contractor named in a post-loss assignment
23 must cooperate with the insurer of the damaged residential
24 real estate in a claim investigation by providing documents
25 and records requested by the insurer and complying with each
26 post-loss duty included in the named insured's insurance
27 policy.

28 5. *a.* A named insured shall have the right to cancel a
29 post-loss assignment without penalty or fee under all of the
30 following circumstances:

31 (1) For any reason within five business days from the
32 date on which the named insured receives a copy of the fully
33 executed post-loss agreement.

34 (2) The assignee has not substantially performed work on
35 the property that is the subject of the post-loss assignment at

1 least thirty calendar days after the date work on the property
2 was scheduled to commence.

3 (3) The assignee has not begun substantial work on the
4 property that is the subject of the post-loss assignment at
5 least thirty calendar days after the date the insured received
6 a fully executed copy of the executed post-loss assignment and
7 the post-loss assignment does not contain a commencement date.

8 b. The cancellation shall be made in writing. Within ten
9 business days of the date of the written cancellation, the
10 residential contractor shall tender to the named insured, the
11 landowner, or the possessor of the real estate, all payments,
12 partial payments, or deposits that have been made by such
13 person.

14 6. Any written contract, repair estimate, or work order
15 prepared by a residential contractor to provide goods or
16 services to be paid from the proceeds of a property and
17 casualty insurance policy pursuant to a post-loss assignment
18 shall include, in capitalized fourteen point type, the notice
19 as provided in section 103A.71, subsection 4, paragraph "a",
20 which shall be signed by the named insured, and sent to the
21 named insured's insurer prior to payment to the residential
22 contractor of proceeds under the applicable insurance policy.

23 7. For a minimum of seventy-two hours following a
24 catastrophic disaster, a residential contractor shall
25 not enter into a contract with an insured that includes a
26 post-loss assignment. If the commissioner deems the severity
27 of the catastrophic disaster to have placed people under
28 duress, the commissioner shall immediately dispatch the
29 consumer advocate and other personnel to the disaster area to
30 provide consumer guidance. If, after a public hearing, the
31 commissioner determines that, due to the scope and severity
32 of the catastrophic disaster, additional time is necessary to
33 safely deploy additional consumer protection resources, the
34 commissioner may extend the time period that a residential
35 contractor shall not enter into a contract with an insured that

1 includes a post-loss assignment for an additional seventy-two
2 hours.

3 8. A post-loss assignment entered into with a residential
4 contractor shall be void if the residential contractor violates
5 this section.

6 9. A violation of this section by a residential contractor
7 shall be an unfair practice pursuant to chapter 507B.

8 10. If any provision of this section or the application
9 thereof to any person or circumstance is held invalid, the
10 invalidity does not affect other provisions or applications
11 of this section which can be given effect without the invalid
12 provision or application, and to this end the provisions of
13 this section are severable.

14 DIVISION V

15 PUBLIC, INDEPENDENT, AND STAFF ADJUSTERS

16 Sec. 30. Section 522B.5A, subsection 2, paragraphs c and e,
17 Code 2025, are amended to read as follows:

18 c. A renewal, reinstatement, or reissuance of a license
19 if the license of a producer has been revoked or suspended
20 pursuant to [section 522B.11](#), the license of a ~~public~~ an
21 adjuster has been revoked or suspended pursuant to section
22 ~~522C.6~~ 522C.13, or the license of a viatical settlement
23 provider or viatical settlement broker has been revoked or
24 suspended pursuant to [section 508E.4](#).

25 e. An initial license as a ~~public~~ an adjuster in this state.

26 Sec. 31. Section 522C.1, Code 2025, is amended to read as
27 follows:

28 **522C.1 Purpose.**

29 The purpose of [this chapter](#) is to govern the qualifications
30 and procedures for licensing ~~public~~ adjusters in this state,
31 and to specify the duties of and restrictions on public
32 adjusters, including limitation of such licensure to assisting
33 insureds only with first-party claims.

34 Sec. 32. Section 522C.2, Code 2025, is amended by striking
35 the section and inserting in lieu thereof the following:

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

21/92

1 **522C.2 Definitions.**

2 As used in this chapter, unless the context otherwise
3 requires:

4 1. "*Adjuster*" means a public adjuster, an independent
5 adjuster, or a licensed staff adjuster. A person that acts as
6 an adjuster solely for a crop hail insurance or a multiperil
7 crop insurance claim shall not be subject to this chapter.

8 2. "*Amount of loss*" means the monetary amount determined
9 to be necessary to properly repair or replace damage related
10 to the scope of loss for a covered peril, and is limited to
11 all applicable coverages for covered items associated with the
12 claim.

13 3. "*Business entity*" means a corporation, association,
14 partnership, limited liability company, limited liability
15 partnership, or any other legal entity.

16 4. *a. "Catastrophic disaster"* means an event that results
17 in all of the following:

18 (1) A large number of deaths or injuries.

19 (2) Extensive damage or destruction of facilities that
20 provide and sustain human needs.

21 (3) An overwhelming demand on state and local response
22 resources and mechanisms.

23 (4) A severe long-term effect on general economic activity.

24 (5) A severe effect on state, local, and private sector
25 capabilities to commence and sustain disaster response
26 activities.

27 *b. "Catastrophic disaster"* includes a major disaster
28 declaration by the president of the United States or a state of
29 disaster emergency proclamation by the governor.

30 5. "*Commissioner*" means the commissioner of insurance.

31 6. "*Consumer advocate*" means a consumer advocate appointed
32 pursuant to section 505.8, subsection 6, paragraph "*b*",
33 subparagraph (1).

34 7. "*Disciplinary matter*" means but is not limited to a
35 person who is the subject of an investigation, complaint, or

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

1 pending administrative action in this state or any other state.

2 8. "*Financial interest*" means but is not limited to a fee,
3 commission, or other valuable consideration.

4 9. "*First-party claim*" means a claim filed by a named
5 insured under an insurance policy against which the claim is
6 made.

7 10. "*Home state*" means the District of Columbia, or any
8 state or territory of the United States in which an adjuster
9 maintains the adjuster's principal place of residence or
10 principal place of business.

11 11. "*Independent adjuster*" means a person who does all of
12 the following:

13 a. Contracts, either directly or through a firm or
14 third-party administrator, for compensation with insurers or
15 self-insurers, and is treated by the insurer or self-insurer as
16 an independent contractor and not as an employee as that term
17 is described in 26 C.F.R. §31.3121(d)(1).

18 b. Investigates, negotiates, or settles property,
19 casualty, or workers' compensation claims for insurers or for
20 self-insurers.

21 12. "*Insured*" means a person covered under an insurance
22 policy against which a claim is made.

23 13. "*Insurer*" means the same as defined in section 507A.3.

24 14. "*NAIC*" means the national association of insurance
25 commissioners.

26 15. "*NIPR gateway*" means the communication network developed
27 and operated by the national insurance producer registry that
28 links state insurance regulators with regulated entities to
29 facilitate the electronic exchange of adjuster information,
30 including but not limited to license applications, license
31 renewals, appointments, and terminations.

32 16. "*Person*" means an individual or a business entity.

33 17. "*Producer database*" means the national database of
34 insurance producers maintained by the NAIC.

35 18. "*Public adjuster*" means a person who, for compensation

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

23/92

1 or other thing of value, does any of the following:

2 *a.* Acts for or aids an insured in negotiating or affecting
3 the settlement of a first-party claim for loss or damage to
4 real or personal property of an insured.

5 *b.* Advertises for employment as a public adjuster of
6 first-party insurance claims or otherwise solicits business or
7 represents to the public that the person is a public adjuster
8 of first-party insurance claims for loss or damage to real or
9 personal property of an insured.

10 *c.* Directly or indirectly solicits business investigating
11 or adjusting losses, or advising an insured about first-party
12 claims for loss or damage to real or personal property of the
13 insured.

14 19. "*Reinstatement*" means the reinstatement of a suspended
15 license which was suspended in connection with a disciplinary
16 matter, and that has not expired or been terminated during the
17 suspension period.

18 20. "*Reissuance*" means the issuance of a new license
19 following the revocation of a license, the suspension and
20 subsequent termination of a license, or the forfeiture of a
21 license in connection with a disciplinary matter.

22 21. "*Staff adjuster*" means a person who is directly employed
23 by an insurer or self-insurer to investigate, negotiate, or
24 settle property, casualty, or workers' compensation claims.

25 22. "*Uniform business entity application*" means the most
26 recent version of NAIC's uniform application for business
27 entity license and registration.

28 23. "*Uniform individual application*" means the most recent
29 version of NAIC's uniform application for individual adjuster
30 or apprentice license and registration.

31 Sec. 33. Section 522C.3, Code 2025, is amended by striking
32 the section and inserting in lieu thereof the following:

33 **522C.3 Authority of the commissioner.**

34 The commissioner may adopt rules pursuant to chapter 17A as
35 necessary to administer and enforce this chapter, which may

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

24/92

1 include but are not limited to all of the following:

- 2 1. Advertising standards.
- 3 2. Continuing education requirements for licensees.
- 4 3. Contracts between public adjusters and insureds.
- 5 4. Required disclosures by licensees.
- 6 5. Examinations for licensure.
- 7 6. Exemptions.
- 8 7. License bonds, and errors and omissions insurance
- 9 requirements.
- 10 8. License requirements and exclusions.
- 11 9. Prohibited practices.
- 12 10. Record retention requirements.
- 13 11. Reporting requirements.
- 14 12. Requirements and limitations on fees charged by public
- 15 adjusters.
- 16 13. Standards for reasonableness of payment.
- 17 14. Standards of conduct.
- 18 15. Penalties.

19 Sec. 34. Section 522C.4, Code 2025, is amended by striking
20 the section and inserting in lieu thereof the following:

21 **522C.4 License required.**

22 1. A person shall not act as, or represent that the person
23 is, a public adjuster or an independent adjuster in this state
24 unless the person is licensed under this chapter.

25 2. A license as an adjuster shall not be required of any of
26 the following:

27 a. A staff adjuster; however, staff adjusters shall comply
28 with all other provisions of this chapter not including section
29 522C.7.

30 b. An attorney licensed to practice law in the state when
31 acting within their professional capacity as an attorney.

32 c. A person employed only for the purpose of obtaining facts
33 surrounding a loss, or furnishing technical assistance to a
34 licensed adjuster, including but not limited to a photographer,
35 estimator, private investigator, engineer, and handwriting

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

25/92

1 expert.

2 Sec. 35. Section 522C.5, Code 2025, is amended by striking
3 the section and inserting in lieu thereof the following:

4 **522C.5 Application for license.**

5 1. A person applying for an adjuster license shall complete
6 a uniform individual application or a uniform business entity
7 application through the NIPR gateway or as otherwise prescribed
8 by the commissioner.

9 2. To determine an applicant's eligibility for licensure,
10 the commissioner may require a criminal history check pursuant
11 to section 522B.5A.

12 Sec. 36. NEW SECTION. **522C.5A Individual applicants —**
13 **resident adjuster.**

14 Prior to approving an individual's application for a
15 resident adjuster license, the commissioner shall find that the
16 applicant meets all of the following requirements:

17 1. This state is the applicant's home state.

18 2. The applicant has not committed any act that is a ground
19 for denial, suspension, or revocation of a license under
20 section 522C.13.

21 3. The applicant has the requisite character and competence
22 to be licensed as an adjuster, as may be determined by the
23 commissioner.

24 4. The applicant is financially responsible pursuant to
25 section 522C.7.

26 5. The applicant has paid all fees required under this
27 chapter. An applicant who concurrently applies for both an
28 adjuster license, and a license as an appraiser under chapter
29 522F, shall only be required to pay the fee required under this
30 chapter or the fee required under chapter 522F.

31 6. The applicant maintains an office in the applicant's home
32 state that is available by reasonable appointment or regular
33 business hours.

34 7. The applicant is at least eighteen years of age.

35 8. The applicant successfully passed the adjuster

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

1 examination pursuant to section 522C.8.

2 9. The applicant for a public adjuster license has submitted
3 contracts and any subsequent contract modification to the
4 commissioner for review and approval prior to use. A contract
5 that has been filed is deemed to be approved unless disapproved
6 or additional information is requested by the commissioner
7 within thirty calendar days of receipt of the filing by the
8 commissioner.

9 10. The applicant has obtained any necessary authority from
10 the secretary of state to transact business in this state.

11 Sec. 37. NEW SECTION. 522C.5B Individual applicants —
12 nonresident adjuster.

13 Before approving a nonresident applicant's application for
14 a nonresident adjuster license, the commissioner shall find
15 that the nonresident applicant meets all of the following
16 requirements:

17 1. The nonresident applicant has not committed any act that
18 is a ground for denial, suspension, or revocation of a license
19 under section 522C.13.

20 2. The nonresident applicant is licensed as a resident
21 adjuster and in good standing in the nonresident applicant's
22 home state. If the nonresident applicant's resident license
23 in the nonresident applicant's home state terminates for any
24 reason, a license issued to a nonresident applicant under this
25 section shall become inactive, unless the termination is due to
26 the nonresident applicant being issued a new resident adjuster
27 license in the nonresident applicant's home state and the home
28 state has reciprocity with this state.

29 3. The nonresident applicant has submitted a request for
30 licensure to the division in a form and manner prescribed by
31 the commissioner.

32 4. The nonresident applicant has the requisite character
33 and competence to be licensed as an adjuster, as may be
34 determined by the commissioner.

35 5. The nonresident applicant is financially responsible

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 pursuant to section 522C.7.

2 6. The nonresident applicant has paid all fees required
3 under this chapter. An applicant who concurrently applies for
4 both an adjuster license, and a license as an appraiser under
5 chapter 522F, shall only be required to pay the fee required
6 under this chapter or the fee required under chapter 522F.

7 7. The nonresident applicant has obtained any necessary
8 authority from the Iowa secretary of state to transact business
9 in this state.

10 8. The nonresident applicant for a public adjuster
11 license has filed contracts with the commissioner for review
12 and approval prior to use. A contract that has been filed
13 is deemed to be approved unless disapproved or additional
14 information is requested by the commissioner within thirty
15 calendar days of receipt of the filing by the commissioner.

16 9. The nonresident applicant successfully passed the
17 adjuster examination pursuant to section 522C.8.

18 10. The nonresident applicant is at least eighteen years of
19 age.

20 11. The nonresident applicant maintains an office in
21 the nonresident applicant's home state that is available by
22 reasonable appointment or regular business hours.

23 **Sec. 38. NEW SECTION. 522C.5C Business entity applicants —**
24 **resident public adjuster or independent adjuster.**

25 Prior to approving a business entity's application for a
26 license for a resident public adjuster or resident independent
27 adjuster, the commissioner shall find that the business entity
28 meets all of the following requirements:

29 1. The business entity has designated an individual
30 adjuster licensed in this state to be responsible for the
31 business entity's compliance with the insurance laws and
32 administrative rules of this state.

33 2. The business entity has not committed any act that is a
34 ground for denial, suspension, or revocation of a license under
35 section 522C.13.

1 3. The business entity has the requisite character and
2 competence to be licensed as an adjuster, as may be determined
3 by the commissioner.

4 4. The business entity is financially responsible pursuant
5 to section 522C.7.

6 5. The business entity has paid all fees required under this
7 chapter. An applicant who concurrently applies for both an
8 adjuster license, and a license as an appraiser under chapter
9 522F, shall only be required to pay the fee required under this
10 chapter or the fee required under chapter 522F.

11 6. The business entity maintains an office in the business
12 entity's home state that is available by reasonable appointment
13 or regular business hours.

14 7. The business entity applying for a public adjuster
15 license has submitted contracts and any subsequent contract
16 modification to the commissioner for review and approval prior
17 to use. A contract that has been filed is deemed to be approved
18 unless disapproved or additional information is requested by
19 the commissioner within thirty calendar days of receipt of the
20 filing by the commissioner.

21 8. The business entity has obtained any necessary authority
22 from the Iowa secretary of state to transact business in this
23 state.

24 Sec. 39. NEW SECTION. 522C.5D Business applicants —
25 nonresident business entity.

26 Before approving a nonresident business entity's application
27 for a nonresident public adjuster license or a nonresident
28 independent adjuster license, the commissioner shall find that
29 the nonresident business entity meets all of the following
30 requirements:

31 1. The nonresident business applicant has designated an
32 individual adjuster licensed in this state to be responsible
33 for the nonresident business applicant's compliance with the
34 insurance laws and administrative rules of this state.

35 2. The nonresident business applicant has not committed any

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 act that is a ground for denial, suspension, or revocation of a
2 license under section 522C.13.

3 3. The nonresident business applicant has the requisite
4 character and competence to be licensed as an adjuster, as may
5 be determined by the commissioner.

6 4. The nonresident business applicant is financially
7 responsible pursuant to section 522C.7.

8 5. The nonresident business applicant has paid all fees
9 required under this chapter.

10 6. The nonresident business applicant maintains an office
11 in the nonresident business applicant's home state that is
12 available by reasonable appointment or regular business hours.

13 7. The nonresident business applicant applying for a
14 public adjuster license has submitted contracts and any
15 subsequent contract modification to the commissioner for review
16 and approval prior to use. A contract that has been filed
17 is deemed to be approved unless disapproved or additional
18 information is requested by the commissioner within thirty
19 calendar days of receipt of the filing by the commissioner.

20 8. The nonresident business applicant has obtained any
21 necessary authority from the Iowa secretary of state to
22 transact business in this state.

23 Sec. 40. Section 522C.6, Code 2025, is amended by striking
24 the section and inserting in lieu thereof the following:

25 **522C.6 Fees — license issuance, renewal, or reinstatement,**
26 **and examination.**

27 Fees for a license as an adjuster shall be as follows:

28 1. Any applicable fee for a criminal history check pursuant
29 to section 522B.5A.

30 2. The fee for issuance or renewal of an adjuster license is
31 fifty dollars for a consecutive twenty-four-month period.

32 3. The fee for reinstatement of an adjuster license is fifty
33 dollars.

34 4. The fee for a reinstatement or reissuance of an adjuster
35 license due to a disciplinary action under section 522C.15 is

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

30/92

1 one hundred dollars.

2 5. The commissioner may charge a reasonable fee for the
3 compilation and production of adjuster licensing records.

4 6. The fee for an examination under section 522C.8 may
5 be set by a third-party testing service under contract with
6 the division to administer the examination. The fee must be
7 approved by the division.

8 7. Fees shall be paid electronically through the NIPR
9 gateway.

10 Sec. 41. NEW SECTION. **522C.7 Financial responsibility.**

11 1. Prior to issuance of a license under section 522C.5A,
12 522C.5B, 522C.5C, or 522C.5D, an applicant shall secure
13 evidence of financial responsibility through a surety bond
14 as prescribed by the commissioner. The surety bond shall be
15 executed and issued by an insurer authorized to issue surety
16 bonds in this state and meet the following requirements:

17 a. The surety bond shall be a minimum of fifty thousand
18 dollars.

19 b. The surety bond shall be in favor of the state and
20 specifically authorize recovery by the commissioner on behalf
21 of any person in this state who sustains damages as the result
22 of an adjuster's erroneous act, failure to act, fraud, or
23 unfair or deceptive act or practice under chapter 507B.

24 c. The surety bond shall not be terminated without prior
25 written notice filed with the division a minimum of thirty
26 calendar days prior to termination.

27 2. The division may request that an adjuster provide
28 evidence of financial responsibility at any time the division
29 deems relevant.

30 3. An adjuster shall immediately notify the division if the
31 adjuster's evidence of financial responsibility terminates in
32 violation of subsection 1, paragraph "c", or becomes impaired,
33 and the adjuster's license shall become inactive until the
34 adjuster provides the division with evidence of financial
35 responsibility.

1 Sec. 42. NEW SECTION. **522C.8 Examination.**

2 1. *a.* An individual applying for a license under this
3 chapter shall pass a written examination, unless exempt
4 pursuant to section 522C.9. The examination shall test
5 the knowledge of the individual concerning the duties and
6 responsibilities of an adjuster and the insurance laws and
7 administrative rules of this state, and shall be conducted as
8 prescribed by the division.

9 *b.* An individual who concurrently applies for an adjuster
10 license, and a license as an appraiser under chapter 522F, may
11 choose to take a joint examination conducted as prescribed by
12 the division. The joint examination shall test the knowledge
13 of the individual concerning the duties and responsibilities
14 of an adjuster and of an appraiser, and the insurance laws
15 and administrative rules of this state. An individual who
16 successfully passes a joint examination, and who meets all
17 other requirements for licensure as an adjuster, and as an
18 appraiser under chapter 522F, shall be licensed as both an
19 adjuster and as an appraiser.

20 2. Each individual applying for examination shall remit the
21 examination fee under section 522C.6. An individual applying
22 for a joint examination under subsection 1, paragraph "b", shall
23 pay one examination fee for the joint examination.

24 3. An individual who fails to appear for a scheduled
25 examination, or who fails to pass the examination, may reapply
26 for examination and must remit the required fee to be scheduled
27 for another examination.

28 4. The results of an examination shall be valid to submit
29 for licensure for ninety calendar days after the date of the
30 examination.

31 Sec. 43. NEW SECTION. **522C.9 Examination — exemption.**

32 1. An individual who applies for a nonresident license
33 under this chapter and who was previously a licensed adjuster
34 in another state that required an examination that included
35 Iowa-specific statutes and administrative rules shall not be

1 required to apply for examination under section 522C.8.

2 2. An individual who relocates to this state and who was a
3 licensed adjuster in another state that required an examination
4 that included Iowa-specific statutes and administrative rules
5 shall not be required to apply for examination under section
6 522C.8 if the individual submits an application for a resident
7 adjuster license under section 522C.5A within ninety calendar
8 days of establishing legal residency, and all of the following
9 apply:

10 a. The individual is currently a licensed adjuster in the
11 state from which the applicant relocated.

12 b. The state from which the applicant relocated issues
13 a certification that the applicant is licensed and in good
14 standing.

15 c. The producer database records of the state from which
16 the applicant relocated, or records maintained by the NAIC or
17 a NAIC affiliate or subsidiary, indicate that the adjuster
18 is currently licensed or had been licensed, and is in good
19 standing.

20 Sec. 44. NEW SECTION. 522C.10 Public adjuster and insured
21 — contract for services.

22 1. a. A public adjuster shall not provide services to an
23 insured until a written contract with the insured has been
24 executed on a form filed with and approved by the commissioner
25 pursuant to section 522C.5A, subsection 9, section 522C.5B,
26 subsection 8, section 522C.5C, subsection 7, or section
27 522C.5D, subsection 7. The contract must have a heading that
28 indicates the contract is a public adjuster contract and must
29 contain all of the following:

30 (1) The full name, address, telephone number, and license
31 number of the public adjuster presenting and negotiating the
32 contract and, if applicable, the full name, address, telephone
33 number, and license number of the business entity the public
34 adjuster is associated with.

35 (2) The insured's full name, street address, insurance

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 company name, and, if known or upon notification, the insurance
2 policy number and claim number.

3 (3) A description of the insured's loss claim and the
4 address at which the loss is located, if applicable.

5 (4) A description of services to be provided by the public
6 adjuster on behalf of the insured.

7 (5) A signature of the public adjuster and of the insured,
8 and the date the public adjuster and the insured each signed
9 the contract.

10 (6) An attestation that the public adjuster has a surety
11 bond pursuant to section 522C.7.

12 (7) An explanation of the amount payable to the public
13 adjuster, and how the amount is calculated, which may include
14 any of the following:

15 (a) If an hourly rate, the contract shall state the hourly
16 rate and how the rate is applied to the hours of service
17 provided by the public adjuster to calculate the amount
18 payable.

19 (b) If a flat fee, the contract must state the exact amount
20 payable to the public adjuster.

21 (c) If a percentage of settlement, the contract must state
22 the exact percentage applied to the settlement on the claim.

23 (d) If any other consideration, the contract must detail how
24 the amount payable is calculated or determined.

25 (8) A public adjuster may charge a reasonable fee that shall
26 not exceed any of the following:

27 (a) Fifteen percent of all claim payments approved by
28 the insurer for any noncatastrophic disaster insurance claim
29 settlement.

30 (b) Ten percent of all claim payments approved by the
31 insurer for any catastrophic disaster insurance claim
32 settlement.

33 (9) That compensation for any reopened or supplemental
34 claim may not exceed the limitations set forth in the contract.

35 (10) That the insured has the right to agree to or reject

1 a loss settlement even if the public adjuster objects to the
2 insured's decision.

3 (11) The initial expenses of the public adjuster that will
4 be reimbursed from the proceeds of the claim payment shall be
5 specified by expense type, with reimbursement estimates set
6 forth in the contract. Any additional expenses for which the
7 public adjuster requests reimbursement shall be disclosed in
8 writing to the insured, and must be approved by the insured
9 prior to reimbursement.

10 (12) A statement that the public adjuster shall not render
11 services or perform acts that constitute the practice of law.

12 (13) A statement that the public adjuster shall not act on
13 behalf of or aid any person in negotiation or settlement of a
14 claim related to bodily injury, death, or noneconomic damages.

15 (14) The process for rescinding the contract, including
16 the date by which rescission of the contract by the public
17 adjuster or the insured must occur. The public adjuster
18 shall provide notice of the insured's rights under chapter
19 555A, and the insured may rescind the contract as provided in
20 chapter 555A. A contract shall not be construed to prevent an
21 insured from pursuing a civil remedy after the revocation or
22 cancellation period. If the insured rescinds the contract,
23 anything of value given by the insured shall be returned to the
24 insured within fifteen business days following receipt of the
25 cancellation notice by the public adjuster.

26 *b.* A contract provision shall not be redacted in a copy of
27 the contract submitted to the commissioner. Such redaction
28 shall constitute a violation of this chapter, and shall be
29 subject to penalties under sections 522C.13 and 522C.14.

30 2. If the insurer, no later than five calendar days
31 after the date on which the insured's loss is reported to
32 the insurer, either pays or commits in writing to pay to the
33 insured the policy limit of the insured's insurance policy, the
34 public adjuster shall:

35 *a.* Inform the insured that the total amount of loss claimed

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

35/92

1 by the insured may not be agreed to by the insurer.

2 *b.* Only be entitled to reasonable compensation from the
3 insured for services provided on behalf of the insured based on
4 the time spent on the claim, and the expenses incurred by the
5 public adjuster, until the date the insurer pays the claim or
6 provides the insured with a written commitment that the insurer
7 will pay the claim.

8 3. A public adjuster contract shall not contain a provision
9 that does any of the following:

10 *a.* Allows the public adjuster's percentage of a settlement
11 to be collected if money is still due from an insurer, or that
12 allows the public adjuster to collect the entire percentage
13 of a settlement from any single payment issued by an insurer
14 rather than as a percentage of each payment issued by the
15 insurer.

16 *b.* Requires or permits the insured to authorize an insurer
17 to issue a check only in the name of the public adjuster.

18 *c.* Imposes collection costs or late fees prior to an
19 insurance claim payment by an insurer to an insured.

20 *d.* Allows the public adjuster's compensation to be increased
21 based on the fact that a claim is litigated.

22 *e.* Precludes either an insured or the public adjuster from
23 pursuing civil remedies.

24 *f.* Restricts an insured's right to initiate or maintain
25 direct communication with the insured's attorney or insurer,
26 with the insurer's adjuster or attorney, or any other person
27 regarding settlement of the insured's claim.

28 *g.* Grants the public adjuster power of attorney for the
29 insured. However, a public adjuster may obtain a limited power
30 of attorney for an insured for the sole purpose of depositing
31 claim payments in the insured's name into a fiduciary trust
32 account pursuant to section 522C.11, subsection 26.

33 *h.* Requires the insured to use a particular business entity
34 or individual for the reconstruction, repair, or restoration of
35 the insured's damaged property.

1 4. Prior to execution of the contract, the public adjuster
2 shall review the terms of the contract with the insured
3 and provide the insured with a separate disclosure document
4 regarding the claim process that shall include the following:

5 DISCLOSURE DOCUMENT

6 REGARDING THE CLAIM PROCESS

7 1. PROPERTY INSURANCE POLICIES OBLIGATE THE INSURED TO
8 PRESENT A CLAIM TO THE INSURED'S INSURER FOR CONSIDERATION.
9 THERE ARE THREE TYPES OF ADJUSTERS THAT MAY BE INVOLVED IN THAT
10 PROCESS. THE THREE TYPES ARE AS FOLLOWS:

11 (A) "STAFF ADJUSTER" IS DEFINED IN IOWA CODE SECTION 522C.2.
12 A STAFF ADJUSTER IS EMPLOYED BY THE INSURER. THEY WILL NOT
13 CHARGE THE INSURED A FEE.

14 (B) "INDEPENDENT ADJUSTER" IS DEFINED IN IOWA CODE SECTION
15 522C.2. AN INDEPENDENT ADJUSTER IS CONTRACTED BY THE INSURER
16 TO REPRESENT THE INSURER. THEY WILL NOT CHARGE THE INSURED A
17 FEE.

18 (C) "PUBLIC ADJUSTER" IS DEFINED IN IOWA CODE SECTION
19 522C.2. A PUBLIC ADJUSTER IS NOT AN EMPLOYEE OR REPRESENTATIVE
20 OF THE INSURER. THEY ARE HIRED BY THE INSURED TO ASSIST IN THE
21 PREPARATION, PRESENTATION, AND SETTLEMENT OF A CLAIM.

22 2. THE INSURED IS NOT REQUIRED TO HIRE A PUBLIC ADJUSTER
23 TO HELP THE INSURED MEET THE INSURED'S OBLIGATIONS UNDER THE
24 INSURED'S POLICY, BUT HAS THE RIGHT TO DO SO.

25 3. THE INSURED HAS THE RIGHT TO INITIATE DIRECT
26 COMMUNICATIONS WITH THE INSURED'S ATTORNEY, THE INSURED'S
27 INSURANCE COMPANY, THE INSURANCE COMPANY'S STAFF ADJUSTER OR
28 INDEPENDENT ADJUSTER, THE INSURANCE COMPANY'S ATTORNEY, OR ANY
29 OTHER PERSON REGARDING THE SETTLEMENT OF THE INSURED'S CLAIM.

30 4. THE INSURED MAY BE RESPONSIBLE FOR ANY AMOUNT PAYABLE TO
31 A PUBLIC ADJUSTER RELATED TO ANY PORTION OF A CLAIM THAT WAS
32 PREVIOUSLY PAID IN PART, IN FULL, OR SETTLED BY THE INSURER
33 PRIOR TO A CONTRACT BEING ENTERED INTO BETWEEN THE PUBLIC
34 ADJUSTER AND THE INSURED.

1 5. THE AMOUNT PAYABLE TO A PUBLIC ADJUSTER, WHICH CAN
2 INCLUDE A SALARY, FEE, COMMISSION, OR OTHER CONSIDERATION AS
3 OUTLINED IN THE CONTRACT, IS THE OBLIGATION OF THE INSURED, NOT
4 THE INSURER.

5 6. THE INSURED MAY FILE A COMPLAINT WITH THE IOWA INSURANCE
6 DIVISION BY CALLING (877) 955-1212 OR VISITING IID.IOWA.GOV.

7 5. An original copy of a completed contract shall be
8 provided to the public adjuster and to the insured. The
9 commissioner may inspect the original contract in possession
10 of the public adjuster at any time without prior notice.
11 A contract may be executed electronically if done so in
12 compliance with chapter 554D.

13 6. Within seventy-two hours of executing a contract with an
14 insured under this section, the public adjuster shall provide
15 the insured's insurer a notification letter, which has been
16 signed by the insured, authorizing the public adjuster to
17 represent the insured's interest. The insurer shall verify
18 that the public adjuster is currently licensed with the
19 division.

20 7. A contract between a public adjuster and an insured
21 executed on a form in violation of subsection 1, paragraph "a",
22 shall not be enforceable in this state.

23 Sec. 45. NEW SECTION. 522C.11 Adjusters — standards of
24 conduct.

25 1. A public adjuster shall serve with objectivity and
26 complete loyalty to the interest of the insured. A public
27 adjuster shall render to the insured in good faith information,
28 counsel, and service, that in the opinion of the public
29 adjuster will best serve the insured's insurance claim needs
30 and interest. These duties extend to the claims process and
31 include providing timely responses to both the insurer and the
32 insured.

33 2. For a minimum of seventy-two hours following a
34 catastrophic disaster, to allow time for the commissioner
35 to safely deploy consumer protection resources, a public

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 adjuster shall not, in person or by telephone, directly offer
2 to contract, attempt to offer to contract, or enter into an
3 adjuster contract with an insured unless the offer to contract,
4 the attempt to offer to contract, or entering into a contract
5 is initiated by a consumer. If the commissioner deems the
6 severity of the catastrophic disaster to have placed people
7 under duress, the commissioner shall immediately dispatch the
8 consumer advocate and other personnel to the disaster area to
9 provide consumer guidance. If, after a public hearing, the
10 commissioner determines that, due to the scope and severity
11 of the catastrophic disaster, additional time is necessary to
12 safely deploy additional consumer protection resources, the
13 commissioner may extend the time period that a public adjuster
14 shall not offer to contract, attempt to offer to contract, or
15 enter into a contract for an additional seventy-two hours.

16 3. A public adjuster shall not solicit between the hours
17 of 8:00 p.m. and 9:00 a.m. Solicitation shall include but is
18 not limited to a door-to-door sale as that term is defined in
19 section 555A.1.

20 4. A public adjuster, or an independent adjuster, shall not
21 permit an unlicensed employee or representative of the public
22 adjuster or independent adjuster, nor any person associated
23 with a claim, to conduct business for which a license is
24 required under this chapter.

25 5. An adjuster shall not have a direct or indirect financial
26 interest in any aspect of a claim other than the amount payable
27 pursuant to the written contract with an insured under section
28 522C.10.

29 6. An adjuster shall not acquire any interest in salvage of
30 property.

31 7. An adjuster shall not undertake the adjustment of any
32 claim if the adjuster is not competent and knowledgeable as
33 to the terms and conditions of the insurance coverage, or if
34 the loss or coverage otherwise exceeds the adjuster's current
35 expertise.

1 8. An adjuster shall maintain all documentation relating to
2 all estimates and coverage determinations for a minimum of five
3 years from the date of completion of a settlement.

4 9. An adjuster shall not knowingly make any false oral or
5 written material statements regarding any person engaged in the
6 business of insurance, or any other adjuster, to an insured who
7 is a client or potential client.

8 10. *a.* An adjuster shall not reasonably act, or fail to
9 act, in any manner that obstructs or prevents an insurer or
10 adjuster from timely conducting an inspection of any part of
11 an insured's property for which there is a claim for loss or
12 damage.

13 *b.* If a public adjuster is unavailable after reasonable
14 request by an insurer, resulting in delay of the insurer's
15 timely inspection of the property, the insured shall allow
16 the insurer to have access to the property without the
17 participation or presence of the public adjuster to facilitate
18 the insurer's prompt inspection of the loss or damage.

19 11. An adjuster shall respond to an inquiry from an insurer
20 or an insured regarding a claim within fifteen business days
21 of the date of the inquiry unless good cause exists for delay.
22 The adjuster shall reply within fifteen business days to all
23 pertinent communications from the insured, the insurer, or a
24 representative of the insured or the insurer that reasonably
25 suggest that a response is expected.

26 12. Upon receiving notification of a claim, an insurer shall
27 provide necessary claim forms, instructions, and reasonable
28 assistance within fifteen business days of notification of the
29 claim so that first-party claimants can comply with the policy
30 conditions and the insurer's reasonable requirements.

31 13. An adjuster shall not act as an appraiser and as an
32 adjuster on the same claim.

33 14. An adjuster shall not act as an umpire and as an
34 adjuster on the same claim.

35 15. A public adjuster shall not enter into a contract that

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

40/92

1 accepts a power of attorney or limited power of attorney for
2 an insured.

3 16. *a.* An independent adjuster shall not act as an
4 independent adjuster and a public adjuster on the same claim.

5 *b.* A public adjuster shall not act as a public adjuster and
6 an independent adjuster on the same claim.

7 17. A staff adjuster may be licensed as a public adjuster
8 or as an independent adjuster, but shall be prohibited from
9 providing services as an independent adjuster or a public
10 adjuster while employed as a staff adjuster.

11 18. A public adjuster shall not agree to, or reject, any
12 loss settlement without the insured's express knowledge and
13 written consent.

14 19. An adjuster shall not engage in any act or practice
15 that is a conflict of interest. A conflict of interest shall
16 include but is not limited to the following:

17 *a.* A direct or indirect financial interest with a person
18 responsible for the reconstruction, repair, or restoration of
19 damaged property that is the subject of a claim, or with a
20 person involved in resolving a claim valuation dispute.

21 *b.* A direct or indirect financial interest, or other
22 valuable consideration regardless of form or amount paid to an
23 adjuster in exchange for referring an insured to an appraiser,
24 umpire, construction company, contractor, salvage company, or
25 attorney.

26 *c.* Being an owner, employee, agent, investor, or having
27 other financial interest in a business entity responsible for
28 the reconstruction, repair, or restoration of damaged property
29 that is the subject of a claim, or having an immediate family
30 member who is an owner, employee, agent, or investor in a
31 business entity responsible for the reconstruction, repair,
32 or restoration of a damaged property that is the subject of a
33 claim.

34 *d.* Entering into a written or verbal contract, or formal
35 or informal agreement, with any person that compromises the

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 adjuster's duty of loyalty to the insured.

2 e. Using claim information obtained in the course of a claim
3 investigation for commercial purposes including marketing or
4 advertising for the benefit of the adjuster.

5 20. A public adjuster shall not file a complaint with
6 the division on behalf of an insured without the insured's
7 knowledge and written consent.

8 21. An adjuster shall not represent, directly or
9 indirectly, that damage has occurred at a property unless the
10 adjuster has inspected the damaged areas of the property.

11 22. An adjuster shall produce a detailed written estimate to
12 repair or replace covered damages and provide a copy to both
13 the insured and the insurer in a timely manner.

14 23. A public adjuster shall not offer to pay an insured's
15 deductible, or claim that the insured's deductible will be
16 waived, as an inducement to use the services of the public
17 adjuster.

18 24. An adjuster shall respond reasonably promptly to
19 inquiries by the division.

20 25. A public adjuster shall provide a detailed invoice for
21 completed services to an insured prior to requesting payment
22 for services pursuant to a contract under section 522C.10.

23 26. Funds received or held by a public adjuster on behalf of
24 an insured toward the settlement of a claim shall be:

25 a. Held in a fiduciary capacity.

26 b. Deposited by the adjuster into one or more separate
27 noninterest-bearing fiduciary trust accounts in a financial
28 institution licensed to do business in this state no later
29 than the close of the fifth business day from the date the
30 public adjuster received the funds, and either deposited in the
31 insured's name or in the name of the public adjuster as trustee
32 for the insured, to be held and administered as a trust account
33 for the benefit and protection of the insured.

34 c. Held separately from personal or nonbusiness funds.

35 d. Held separately from other business funds.

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 e. Listed specifically and separately, by the insured's name
2 and the amount in trust in the book of accounts and records of
3 the public adjuster. The book of accounts and records must
4 indicate the fiduciary nature of the account and any amounts
5 deposited or withdrawn.

6 f. Disbursed within thirty calendar days of receipt of an
7 invoice by the public adjuster from a contractor that completed
8 work, if the public adjuster receives approval of the insured
9 that the work was satisfactorily completed.

10 27. A public adjuster shall comply with all applicable local
11 ordinances.

12 28. An adjuster who fails to comply with this section shall
13 be subject to penalties under sections 522C.13 and 522C.14.

14 Sec. 46. NEW SECTION. **522C.12 Adjusters — records.**

15 1. An adjuster shall have a continuing duty to keep, at
16 the adjuster's place of business, usual and customary records
17 pertaining to transactions undertaken by the adjuster. All
18 such records shall be kept available and open for inspection
19 by the division at any time during regular business hours;
20 however, the division is not entitled to inspect any records
21 prepared in anticipation of litigation or that are subject to
22 any privilege recognized in chapter 622. The records shall be
23 maintained for a minimum of five years from the date of the
24 adjuster transaction.

25 2. An adjuster who fails to comply with this section shall
26 be subject to penalties under sections 522C.13 and 522C.14.

27 Sec. 47. NEW SECTION. **522C.13 License denial, nonrenewal,**
28 **suspension, or revocation.**

29 1. The division may place on probation, suspend, revoke, or
30 refuse to issue or renew an adjuster's license, and may levy a
31 civil penalty as provided in section 522C.14, for one or more
32 of the following causes:

33 a. The adjuster provided incorrect, misleading, incomplete,
34 or materially untrue information in a license application.

35 b. The adjuster violated an insurance law, regulation,

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 subpoena, or order of the commissioner or of a commissioner of
2 another state.

3 *c.* The adjuster obtained or attempted to obtain a license
4 through misrepresentation or fraud.

5 *d.* The adjuster improperly withheld, misappropriated, or
6 converted money or property received in the course of doing
7 business.

8 *e.* The adjuster was convicted of a felony.

9 *f.* The adjuster admitted to, or was found to have committed,
10 any unfair trade practice or fraud.

11 *g.* The adjuster used fraudulent, coercive, or dishonest
12 practices, or demonstrated incompetence, untrustworthiness, or
13 financial irresponsibility, or was a source of injury or loss
14 in the conduct of business in this state or elsewhere.

15 *h.* The adjuster had any professional license, or its
16 equivalent, denied, suspended, or revoked in this state or any
17 other state, province, district, or territory.

18 *i.* The adjuster forged another's name to any document
19 related to the adjuster's work as an adjuster.

20 *j.* The adjuster improperly used notes or any other reference
21 material to complete an examination for an adjuster license.

22 *k.* The adjuster knowingly negotiated as an adjuster with an
23 individual or business entity who is not, but is required to
24 be, licensed as an adjuster, appraiser, or umpire.

25 *l.* The adjuster failed to comply with an administrative or
26 court order imposing a child support obligation.

27 *m.* The adjuster failed to comply with an administrative
28 or court order related to repayment of loans to the college
29 student aid commission.

30 *n.* The adjuster failed to pay state income tax or to comply
31 with any administrative or court order directing payment of
32 state income tax.

33 *o.* The adjuster failed or refused to cooperate in
34 an investigation conducted by the commissioner or the
35 commissioner's designee.

1 *p.* The adjuster intentionally misrepresented the terms of an
2 actual or proposed contract for services.

3 2. If the commissioner does not renew an adjuster's license
4 or denies an application for a license, the commissioner shall
5 notify the adjuster or applicant and advise, in writing, of
6 the reason for the nonrenewal of the license or denial of
7 the application for a license. The adjuster or applicant
8 may request a hearing on the nonrenewal or denial by filing
9 a written request for a hearing within thirty calendar days
10 from the date of notice of the nonrenewal or denial. A hearing
11 shall be conducted according to section 522C.15.

12 3. The license of a business entity may be suspended,
13 revoked, placed on probation, or refused if the commissioner
14 finds, after hearing, that an individual adjuster's violation
15 was known or should have been known by a licensed partner,
16 officer, or manager of the business entity and the violation
17 was not reported to the commissioner and corrective action was
18 not taken.

19 4. The license of a nonresident adjuster shall be
20 immediately inactive if the nonresident adjuster is placed on
21 probation, suspended, revoked, refused, or denied licensure in
22 any other state. The nonresident adjuster shall have seven
23 calendar days to alert the commissioner that the nonresident
24 adjuster has been placed on probation, suspended, revoked,
25 refused, nonrenewed, or denied licensure in another state.
26 Failure to meet the reporting deadline shall be a violation of
27 this section.

28 5. In addition to, or in lieu of, denial, probation,
29 suspension, or revocation of a license under this section, an
30 adjuster, after hearing, may be subject to a civil penalty as
31 provided in section 522C.14.

32 6. The commissioner may enforce this chapter, may conduct
33 an investigation of any suspected violation of this chapter,
34 and may impose any penalty or remedy authorized by this chapter
35 against any person who is under investigation for, or charged

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 with, a violation of this chapter even if the person's license
2 has been surrendered or has lapsed by operation of law.

3 7. *a.* All complaint files, investigation files,
4 investigation reports, and other investigative information
5 in the possession of the commissioner or the commissioner's
6 agents that relates to adjuster discipline shall be privileged
7 and confidential, and shall not be subject to discovery,
8 subpoena, or other means of legal compulsion for release to a
9 person other than the adjuster, and shall not be admissible in
10 evidence in a judicial or administrative proceeding other than
11 a proceeding involving adjuster discipline. A final written
12 decision of the commissioner in a disciplinary proceeding shall
13 be a public record.

14 *b.* Investigative information in the possession of the
15 commissioner or the commissioner's agents that relates to
16 adjuster discipline may be disclosed, at the commissioner's
17 discretion. The commissioner may share documents, materials,
18 or other information, including confidential and privileged
19 documents and materials subject to this subsection, with other
20 state, federal, and international regulatory agencies, with
21 NAIC, its affiliates or subsidiaries, and with state, federal,
22 and international law enforcement authorities, provided
23 that the recipient agrees to maintain the confidentiality
24 and privileged status of the document, material, or other
25 information.

26 *c.* If the investigative information in the possession of the
27 commissioner or the commissioner's agents indicates a crime has
28 been committed, the information shall be reported to the proper
29 law enforcement agency.

30 8. *a.* Pursuant to section 17A.19, subsection 6, upon an
31 appeal by the adjuster, the commissioner shall transmit the
32 entire record of the contested case to the reviewing court.

33 *b.* Notwithstanding section 17A.19, subsection 6, if a
34 waiver of privilege has been involuntary and evidence has been
35 received at a disciplinary hearing, the court shall issue

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

46/92

1 an order to withhold the identity of the individual whose
2 privilege was waived.

3 Sec. 48. NEW SECTION. **522C.14 Civil and criminal penalties.**

4 1. *a.* Upon a determination by the commissioner after a
5 hearing conducted pursuant to chapter 17A that an adjuster has
6 violated a provision of this chapter, the commissioner shall
7 reduce the findings of the hearing to writing and deliver a
8 copy of the findings to the adjuster.

9 *b.* Upon a determination by the commissioner that an adjuster
10 has engaged, is engaging, or is about to engage in any act or
11 practice constituting a violation of this chapter or a rule
12 adopted or order issued under this chapter, the commissioner
13 may take the following actions:

14 (1) Issue an order requiring the adjuster to cease and
15 desist from engaging in the conduct resulting in the violation.

16 (2) Assess a civil penalty against the adjuster of not more
17 than one thousand dollars for each violation of this chapter,
18 not to exceed an aggregate of ten thousand dollars.

19 (3) If the adjuster knew or reasonably should have known
20 the adjuster was in violation of this chapter, assess a
21 civil penalty of not more than five thousand dollars for each
22 violation of this chapter, not to exceed an aggregate penalty
23 of fifty thousand dollars in any one six-month period.

24 (4) (a) Issue a summary order, including a brief statement
25 of findings of fact, conclusions of law, and policy reasons for
26 the decision, and directing the adjuster to cease and desist
27 from engaging in the act or practice or to take affirmative
28 action as is necessary in the judgment of the commissioner to
29 comply with the requirements of this chapter.

30 (b) An adjuster may contest a summary order by filing,
31 within thirty calendar days from the date of the issuance of
32 the summary order, a written request for a contested case
33 proceeding and hearing as provided in chapter 17A and in
34 accordance with rules adopted by the commissioner. Section
35 17A.18A shall be inapplicable to a summary order issued under

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 this subsection. If a hearing is not requested within thirty
2 calendar days from the date of issuance of the summary order,
3 the summary order shall become final by operation of law. A
4 summary order shall remain effective from the date of issuance
5 until the date the order becomes final by operation of law,
6 or is modified or overturned by a presiding officer or court
7 following a request for hearing.

8 (c) An adjuster violating a summary order issued under this
9 subsection shall be deemed in contempt of the summary order.
10 The commissioner may petition the district court to enforce the
11 order as certified by the commissioner. The district court
12 shall find the adjuster in contempt of the order if the court
13 finds, after conducting a hearing, that the adjuster is not
14 in compliance with the order. The court may assess a civil
15 penalty against the adjuster and may issue further orders as
16 the court deems appropriate.

17 c. In addition to any other penalty under this section,
18 if the commissioner finds that a violation of this chapter
19 was directed, encouraged, condoned, ignored, or ratified by
20 the employer of the adjuster, the commissioner shall assess a
21 penalty to the employer. Penalties under this paragraph may be
22 retained by the commissioner under section 505.7, subsection 9.

23 2. a. A person acting as an adjuster without proper
24 licensure, or an adjuster who willfully violates any provision
25 of this chapter or an order issued under this chapter, is
26 guilty of a class "D" felony. If the violation results in a
27 loss of more than ten thousand dollars, the person or adjuster
28 is guilty of a class "C" felony.

29 b. An adjuster who steals, converts, or misappropriates
30 funds that should be held in trust under section 522C.11, is
31 guilty of a class "D" felony. If the violation results in a
32 loss of more than ten thousand dollars, the adjuster is guilty
33 of a class "C" felony.

34 c. The commissioner may refer such evidence as is available
35 concerning a violation of this chapter, or of any rule adopted

1 or order issued under this chapter, or of the failure of a
2 person to comply with the licensing requirements of this
3 chapter, to the attorney general or the proper county attorney
4 who may institute the appropriate criminal proceedings under
5 this chapter.

6 *d.* This chapter does not limit the power of the state to
7 punish any person for conduct that constitutes a crime under
8 any other statute.

9 3. Any contract regulated by this chapter that is entered
10 into by an insured with a person who is not a licensed public
11 adjuster in this state shall be void. If a contract is void,
12 the insured is not liable for the payment for any past services
13 rendered, or future services to be rendered, by that person.

14 Sec. 49. NEW SECTION. **522C.15 Reinstatement or reissuance**
15 **of a license after disciplinary matters — forfeiture in lieu of**
16 **compliance.**

17 1. *a.* A person licensed as an adjuster under this chapter
18 whose license has been revoked or suspended by order, or who
19 forfeited a license in connection with a disciplinary matter,
20 may apply to the commissioner for reinstatement or reissuance
21 in accordance with the terms of the order of revocation or
22 suspension, or the order accepting the forfeiture, and submit
23 to a criminal history check under section 522B.5A.

24 *b.* Proceedings for reinstatement or reissuance shall be
25 initiated by the applicant who shall file with the commissioner
26 an application for reinstatement or reissuance after
27 disciplinary action. An applicant shall not be eligible for
28 reinstatement or reissuance until the applicant satisfies the
29 requirements under section 522C.5, 522C.5A, 522C.5B, 522C.5C,
30 or 522C.5D, as applicable, and the examination requirements
31 under section 522C.8. An applicant may also be required to
32 submit a new or renewal adjuster application under section
33 522C.5A, 522C.5B, 522C.5C, or 522C.5D, as applicable.

34 *c.* An application for reinstatement or reissuance shall
35 allege facts which, if established, are sufficient to enable

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

49/92

1 the commissioner to determine that the basis of revocation,
2 suspension, or forfeiture of the applicant's license no longer
3 exists, and must disclose if the applicant has engaged in
4 any conduct listed as a cause for licensing action that was
5 not included in the order for suspension, revocation, or
6 forfeiture.

7 *d.* An application for reinstatement or reissuance shall
8 allege facts which, if established, are sufficient to enable
9 the commissioner to determine that it is in the public
10 interest for the application to be granted. The commissioner
11 may determine that it is not in the public interest if the
12 applicant has engaged in any conduct listed as a cause for
13 licensing action that was not included in the order for
14 suspension, revocation, or forfeiture, or if the applicant does
15 not have the character and fitness to be a licensed adjuster
16 in this state.

17 *e.* The burden of proof to establish facts identified in
18 paragraphs "*c*" and "*d*" shall be on the applicant.

19 *f.* An adjuster may request reinstatement of a suspended
20 license prior to the end of the suspension term.

21 *g.* Unless otherwise provided by law, if an order of
22 revocation or suspension did not establish terms on which
23 reinstatement or reissuance may occur, or if the license
24 was forfeited, an initial application for reinstatement or
25 reissuance shall not be made until at least one year from the
26 date of the order of the suspension, revocation, or acceptance
27 of the forfeiture of a license.

28 2. All proceedings on an application for reinstatement or
29 reissuance, including preliminary and ancillary matters, shall
30 be held in accordance with chapter 17A. The application shall
31 be docketed in the original case in which the original license
32 was suspended, revoked, or forfeited, if the case exists.

33 3. An order of reinstatement or reissuance shall be based
34 on a written decision which incorporates findings of fact
35 and conclusions of law. An order granting an application

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 for reinstatement or reissuance may impose such terms and
2 conditions as the commissioner or the commissioner's designee
3 deems appropriate, and may include one or more penalties
4 provided under section 522C.14. The order shall be a public
5 record and may be disseminated in compliance with chapter 22.

6 4. If an adjuster's ordered suspension period ends prior to
7 the adjuster's license expiration date and the adjuster applies
8 for reinstatement prior to the license expiration date and
9 meets all applicable requirements, the division shall reinstate
10 the license as soon as practicable but no earlier than the end
11 of the suspension period if the division, after a complete
12 review, determines the license should be reinstated.

13 5. If an adjuster's license is suspended beyond the
14 adjuster's license expiration date, whether due to an ordered
15 suspension time period or failure to apply for reinstatement
16 prior to expiration, the adjuster must apply for reissuance.

17 6. A submission of voluntary forfeiture of a license
18 shall be made in writing to the commissioner. Forfeiture of
19 a license is effective on the date of submission unless a
20 contested case proceeding is pending on the date of submission.
21 If a contested case proceeding is pending, the forfeiture
22 shall become effective upon conditions as ordered by the
23 commissioner. A forfeiture made during the pendency of a
24 contested case proceeding shall be considered a disciplinary
25 action and shall be published in the same manner as is
26 applicable to any other form of disciplinary order.

27 7. The commissioner shall not be prohibited from denying an
28 application for reinstatement or reissuance, or from bringing
29 an additional immediate action, if an adjuster has engaged in
30 an additional violation of chapter 507B or 522C, or otherwise
31 failed to meet all applicable requirements.

32 8. This section shall not apply to reinstatement of an
33 expired license or issuance of a new license that is not in
34 connection with a disciplinary matter.

35 Sec. 50. NEW SECTION. 522C.16 Suspension for failure to

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

51/92

1 pay child support or state debt.

2 1. The commissioner shall deny an adjuster's application
3 for license issuance, renewal, reinstatement, or reissuance;
4 suspend a current license; or revoke a currently suspended
5 license, upon receipt of a certificate of noncompliance from
6 the child support recovery unit pursuant to chapter 252J,
7 or upon receipt of a certificate of noncompliance from the
8 centralized collection unit of the department of revenue
9 pursuant to chapter 272D.

10 2. Upon receipt of a certificate of noncompliance under
11 subsection 1, the commissioner shall issue a notice to the
12 adjuster that the division will, unless the certificate of
13 noncompliance is withdrawn, deny the adjuster's application
14 for license issuance, renewal, reinstatement, or reissuance,
15 suspend the adjuster's current license, or revoke the
16 adjuster's currently suspended license, thirty calendar days
17 after the date the notice is mailed. Notice shall be sent
18 to the adjuster's last known address by restricted certified
19 mail, return receipt requested, or in accordance with the
20 division's rules for service. The notice shall contain all of
21 the following:

22 a. A statement that the commissioner intends to deny
23 the adjuster's application for license issuance, renewal,
24 reinstatement, or reissuance; suspend the adjuster's current
25 license; or revoke the adjuster's currently suspended license
26 in thirty calendar days unless the certificate of noncompliance
27 is withdrawn.

28 b. A statement that the adjuster must contact the agency
29 that issued the certificate of noncompliance to request a
30 withdrawal.

31 c. A statement that the adjuster does not have a right to
32 a hearing before the division, but that the adjuster may file
33 an application for a hearing in district court pursuant to
34 section 252J.9 or 272D.9, as applicable, and that the filing
35 of an application by the adjuster will stay the proceedings of

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 the division.

2 *d.* A copy of the certificate of noncompliance.

3 3. An adjuster shall keep the commissioner informed of all
4 actions taken by the district court or the issuing agency in
5 connection with a certificate of noncompliance. Within seven
6 calendar days of filing or issuance, an adjuster shall provide
7 to the commissioner a copy of all applications filed with the
8 district court pursuant to an application or hearing, all
9 court orders entered in such action, and all withdrawals of a
10 certificate of noncompliance.

11 4. If an applicant or licensed adjuster timely files an
12 application for hearing in district court and the division
13 is notified of the filing, the commissioner's denial,
14 suspension, or revocation proceedings shall be stayed until
15 the division is notified by the district court, the issuing
16 agency, the licensee, or the applicant of the resolution of
17 the application. Upon receipt of a court order lifting the
18 stay or otherwise directing the commissioner to proceed, the
19 commissioner shall continue with the intended action described
20 in the notice.

21 5. If the commissioner does not receive a withdrawal of
22 the certificate of noncompliance from the issuing agency, or a
23 notice from a clerk of court, the issuing agency, the licensee,
24 or the applicant that an application for hearing has been filed
25 within thirty calendar days after the notice is issued, the
26 commissioner shall deny the adjuster's application for license
27 issuance, renewal, reinstatement, or reissuance; suspend a
28 current license; or revoke a currently suspended license.

29 6. Upon receipt of a withdrawal of a certificate of
30 noncompliance from the issuing agency, suspension or revocation
31 proceedings shall halt and the named adjuster shall be notified
32 that the proceedings have halted. If the adjuster's license
33 has already been suspended, the adjuster must apply for
34 reinstatement in accordance with section 522C.15, and the
35 license shall be reinstated if the adjuster is otherwise in

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 compliance with this chapter. If the adjuster's application
2 for licensure was stayed, application processing shall resume.
3 All fees required for license renewal, reinstatement, or
4 reissuance must be paid by the adjuster, and all continuing
5 education requirements shall be satisfied, before the
6 adjuster's license is renewed or reinstated after a license
7 suspension or revocation under this chapter.

8 7. The commissioner shall notify an adjuster in writing
9 through regular first class mail, or such other means as the
10 commissioner deems appropriate under the circumstances, within
11 ten calendar days of the effective date of the suspension or
12 revocation of the adjuster's license, and shall also notify the
13 adjuster when the adjuster's license is reinstated following
14 the commissioner's receipt of a withdrawal of the certificate
15 of noncompliance.

16 8. Notwithstanding any provision of law to the contrary, the
17 division may share information with the child support recovery
18 unit or the centralized collection unit of the department of
19 revenue for the sole purpose of identifying adjusters subject
20 to enforcement under chapter 252J or 272D.

21 Sec. 51. NEW SECTION. **522C.17 Severability.**

22 If any provision of this chapter or the application thereof
23 to any person or circumstance is held invalid, the invalidity
24 does not affect other provisions or applications of this
25 chapter which can be given effect without the invalid provision
26 or application, and to this end the provisions of this chapter
27 are severable.

28 Sec. 52. **APPLICABILITY.** The licensure and examination
29 requirements of chapter 522C in this division of this Act apply
30 three months after the enactment date of this division of this
31 Act to a person currently doing business in this state as an
32 independent adjuster or a staff adjuster as of January 1, 2025.

33 **DIVISION VI**

34 **LICENSING AND REGULATION OF APPRAISERS AND UMPIRES**

35 Sec. 53. Section 507B.2, subsection 1, Code 2025, is amended

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

54/92

1 to read as follows:

2 1. "Person" shall mean any individual, corporation,
3 association, partnership, reciprocal exchange, interinsurer,
4 fraternal beneficiary association, and any other legal entity
5 engaged in the business of insurance, including insurance
6 producers, appraisers, umpires, and adjusters. "Person" shall
7 also mean any corporation operating under the provisions of
8 chapter 514 and any benevolent association as defined and
9 operated under chapter 512A. For purposes of this chapter,
10 corporations operating under the provisions of chapter 514 and
11 chapter 512A shall be deemed to be engaged in the business of
12 insurance.

13 Sec. 54. Section 522B.5A, subsection 2, paragraph c, Code
14 2025, is amended to read as follows:

15 c. A renewal, reinstatement, or reissuance of a license
16 if the license of a producer has been revoked or suspended
17 pursuant to section 522B.11, the license of a public adjuster
18 has been revoked or suspended pursuant to section 522C.6
19 522C.13, ~~or~~ the license of a viatical settlement provider
20 or viatical settlement broker has been revoked or suspended
21 pursuant to section 508E.4, or the license of an appraiser or
22 an umpire has been revoked or suspended pursuant to section
23 522F.20.

24 Sec. 55. Section 522B.5A, subsection 2, Code 2025, is
25 amended by adding the following new paragraphs:

26 NEW PARAGRAPH. f. An initial license as an appraiser in
27 this state.

28 NEW PARAGRAPH. g. An initial license as an umpire in this
29 state.

30 Sec. 56. NEW SECTION. 522F.1 Definitions.

31 As used in this chapter, unless the context otherwise
32 requires:

33 1. "Adjuster" means a person licensed pursuant to chapter
34 522C.

35 2. "Amount of loss" means the monetary amount determined

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 to be necessary to properly repair or replace damage related
2 to the scope of a loss for a covered peril, and is limited to
3 all applicable coverages for covered items associated with the
4 claim.

5 3. "*Appraiser*" means a person licensed as an appraiser
6 pursuant to section 522F.4.

7 4. "*Appraiser list*" means a list, maintained by the
8 division, of all appraisers licensed by the division.

9 5. "*Claimant*" means a person who makes a first-party claim
10 under a policy of property and casualty insurance.

11 6. "*Commissioner*" means the commissioner of insurance.

12 7. "*Disciplinary matter*" means an individual is the subject
13 of an investigation, complaint, pending administrative action,
14 or other such action in any state.

15 8. "*First-party claim*" means a claim filed by a named
16 insured under an insurance policy against which a claim is
17 made.

18 9. "*Good cause*" means a legally sufficient reason including
19 but not limited to any of the following:

20 a. A conflict of interest.

21 b. A lack of independence or an inability to competently or
22 promptly carry out the duties required under this chapter.

23 c. Any other reason that would reasonably be expected to
24 impair an appraisal.

25 10. "*Immediate family*" means an individual's parent,
26 sibling, child, grandchild, spouse, spouses of the individual's
27 children, or parents of the individual's spouse.

28 11. "*Insured*" means a person covered under an insurance
29 policy against which a claim is made.

30 12. "*Insurer*" means a person engaged in the business of
31 insurance and regulated under chapter 507A, 508, 512B, 515,
32 518, 518A, or 520.

33 13. "*NIPR gateway*" means the communication network developed
34 and operated by the national insurance producer registry that
35 links state insurance regulators with regulated entities to

1 facilitate the electronic exchange of adjuster information,
2 including but not limited to license applications, license
3 renewals, appointments, and terminations.

4 14. "*Party*" means an insurer or a claimant, including an
5 employee, contractor, and other representative of an insurer
6 or claimant.

7 15. "*Person*" means an individual or a business entity.

8 16. "*Reinstatement*" means the reinstatement of a suspended
9 license which was suspended in connection with a disciplinary
10 matter, and that has not expired or been terminated during the
11 suspension period.

12 17. "*Reissuance*" means the issuance of a new license
13 following the revocation of a license, the suspension and
14 subsequent termination of a license, or the forfeiture of a
15 license in connection with a disciplinary matter.

16 18. "*Umpire*" means a person licensed as an umpire pursuant
17 to section 522F.9.

18 19. "*Umpire list*" means a list, maintained by the division,
19 of all umpires licensed by the division.

20 Sec. 57. NEW SECTION. 522F.2 Rules.

21 The commissioner may adopt rules pursuant to chapter 17A to
22 administer this chapter.

23 Sec. 58. NEW SECTION. 522F.3 Appraiser's license —
24 eligibility.

25 1. A person shall not act as, or represent that the person
26 is, an appraiser in this state unless the person is licensed
27 under this chapter. A person that acts as an appraiser in this
28 state solely for a crop hail or multiperil crop insurance claim
29 shall not be subject to this chapter.

30 2. A person applying for an appraiser license shall submit
31 an application on a uniform individual application or a uniform
32 business entity application in the form and manner prescribed
33 by the commissioner.

34 3. To be eligible for licensure under this chapter, a person
35 shall meet all of the following criteria:

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

57/92

1 *a.* Have experience or training in building construction,
2 repair, or estimating property damage.

3 *b.* Unless waived by the commissioner based on the person's
4 other professional qualifications, have a minimum of three
5 years' experience as any of the following:

6 (1) A professional engineer licensed under chapter 542B or
7 similarly licensed in another state.

8 (2) An architect licensed under chapter 544A or similarly
9 licensed in another state.

10 (3) An adjuster licensed under chapter 522C or similarly
11 licensed in another state.

12 (4) A residential contractor as defined in section 103A.71.

13 (5) A contractor registered under chapter 91C or similarly
14 registered in another state.

15 *c.* (1) Pass a written examination as prescribed by
16 the division. The examination shall test the knowledge of
17 a person concerning the appraisal process, the duties and
18 responsibilities of an appraiser, and the insurance laws and
19 rules of this state. Examination results shall be valid for
20 ninety calendar days from the date of examination.

21 (2) An individual who concurrently applies for an appraiser
22 license, and a license as an adjuster under chapter 522C, may
23 choose to take a joint examination conducted as prescribed by
24 the division. The joint examination shall test the knowledge
25 of the individual concerning the duties and responsibilities
26 of an adjuster and of an appraiser, and the insurance laws
27 and administrative rules of this state. An individual who
28 successfully passes a joint examination, and who meets all
29 other requirements for licensure as an appraiser, and as an
30 adjuster under chapter 522C, shall be licensed as both an
31 adjuster and as an appraiser.

32 *d.* Have the requisite character and competence, as
33 determined by the division.

34 4. To determine an applicant's eligibility for licensure,
35 the commissioner may require a criminal history check pursuant

1 to section 522B.5A.

2 Sec. 59. NEW SECTION. **522F.4 Appraisers — licensure,**
3 **license renewal, and fees.**

4 1. A person who meets the requirements under section 522F.3,
5 unless otherwise denied licensure pursuant to section 522F.20,
6 shall be issued an appraiser license that is valid for two
7 years from the date of issue.

8 2. Any applicable fee for a criminal history check pursuant
9 to section 522B.5A.

10 3. The fee for an initial appraiser license, or renewal of
11 an appraiser license, shall be fifty dollars for a two-year
12 license. An applicant who concurrently applies for both an
13 appraiser license, and a license as an adjuster under chapter
14 522C, shall only be required to pay the fee required under this
15 chapter or the fee required under chapter 522C.

16 4. The fee for reinstatement of an expired appraiser license
17 shall be one hundred dollars.

18 5. The fee for a reinstatement or reissuance of an appraiser
19 license suspended or revoked due to a disciplinary action shall
20 be one hundred dollars.

21 6. An appraiser's license shall contain the licensee's
22 name, business address, appraisal license number, the date of
23 issuance, the expiration date, and any other information the
24 division deems necessary.

25 7. An appraiser licensed under this chapter shall be
26 required to complete continuing education requirements, as
27 prescribed by the division, to be eligible for license renewal
28 or reinstatement.

29 8. An appraiser licensed under this chapter shall inform
30 the division, in the manner and form specified by the division,
31 of a change of legal name or business address within thirty
32 calendar days of the change. Failure to timely inform the
33 division may result in a penalty as specified in section
34 522F.20.

35 9. The division shall publish an appraiser list on the

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

59/92

1 division's internet site in a manner readily available to the
2 public. The appraiser list shall include all of the following
3 information for each licensed appraiser:

4 a. The business telephone number, business mailing address,
5 business email address, and the county and state of residence
6 of the appraiser as provided to the division by the appraiser
7 for licensure.

8 b. The appraiser's area of training or expertise.

9 c. The date of the appraiser's initial licensure and the
10 date the license expires.

11 10. Prior to approving a business entity's application for
12 a license as an appraiser, the commissioner shall find that the
13 business entity has designated an individual appraiser licensed
14 in this state to be responsible for the business entity's
15 compliance with the insurance laws and rules of this state.

16 Sec. 60. NEW SECTION. **522F.5 Appraiser license**
17 **reinstatement — not related to disciplinary action.**

18 1. An appraiser may apply for reinstatement of an expired
19 license up to one year after the license expiration date
20 by submitting a request through the NIPR gateway, paying a
21 reinstatement fee and a license renewal fee, and submitting
22 evidence to the division that the appraiser met the continuing
23 education requirements under section 522F.4. An appraiser who
24 fails to apply for license reinstatement within one year of the
25 date of expiration of the appraiser's license must apply for
26 a new license.

27 2. An appraiser who surrendered a license, not in connection
28 with a disciplinary matter, and stated an intent to exit the
29 appraiser business may file a request with the division to
30 reactivate the appraiser license. The request must be received
31 by the division within ninety calendar days of the date the
32 appraiser's license was placed on inactive status. The request
33 shall be granted if the former appraiser is otherwise eligible
34 to receive an appraiser license. If the appraiser's request to
35 reactivate the license is not received within ninety calendar

1 days of the date the appraiser's license was placed on inactive
2 status, the appraiser must apply for a new license.

3 3. An appraiser whose license is suspended, revoked,
4 or forfeited in connection with a disciplinary matter, or
5 forfeited in lieu of compliance, shall not be eligible for
6 reinstatement under this section and must follow the procedures
7 in section 522F.22.

8 Sec. 61. NEW SECTION. 522F.6 Appraisers — payment.

9 1. Each party to an appraisal shall be responsible for the
10 following:

11 a. The party's own appraiser's fees and expenses.

12 b. An equal share of all reasonable and necessary fees and
13 expenses incurred by an umpire, if necessary.

14 c. An equal share of all reasonable and necessary costs
15 incurred in the course of conducting the appraisal.

16 2. An appraiser shall not charge any party on a basis
17 dependent on the outcome of the written itemized award, or
18 charge in a manner that relies on a barter arrangement, gift,
19 favor, or in-kind exchange.

20 3. An appraiser shall not charge, and is not entitled to,
21 a fee, compensation, deposit, or other type of consideration
22 if the appraiser abandons the appraisal prior to the umpire
23 issuing a written itemized award.

24 Sec. 62. NEW SECTION. 522F.7 Appraisers — standards of
25 conduct.

26 1. An appraiser shall act with due diligence, including but
27 not limited to demonstrating accuracy, fairness, and timeliness
28 throughout an appraisal process.

29 2. a. (1) No later than five business days after being
30 hired by a party to an appraisal and before beginning work as
31 an appraiser, an appraiser shall disclose to all parties to the
32 appraisal any potential conflict of interest.

33 (2) An appraiser shall not engage in any act or practice
34 that is a conflict of interest during the appraisal.

35 (3) If a conflict of interest arises after the start of the

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

61/92

1 appraisal process, an appraiser shall disclose the conflict of
2 interest to the parties and shall withdraw from the appraisal
3 process no more than five business days after the conflict of
4 interest arose.

5 **b.** A conflict of interest shall include but is not limited
6 to all of the following:

7 (1) An appraiser is a party to a lawsuit against any party
8 to an appraisal.

9 (2) An appraiser is a party to, or a member or employee
10 of a law firm that represents a party to, a current lawsuit
11 involving an insurer that is a party to the appraisal.

12 (3) An appraiser has personally investigated, prosecuted,
13 or advocated in connection with the appraisal.

14 (4) An appraiser has acted as counsel to any party to
15 an appraisal within the two years immediately preceding the
16 appraisal.

17 (5) An appraiser has a personal financial interest in the
18 outcome of the appraisal or any other significant interest
19 that could be substantially affected by the outcome of the
20 appraisal.

21 (6) A member of an appraiser's immediate family is any of
22 the following:

23 (a) A party to the appraisal, or an officer, director, or
24 trustee of a party.

25 (b) A current employee of an appraiser or an adjuster to the
26 appraisal.

27 (c) A business entity licensed as an adjuster that adjusted
28 the loss at issue in the appraisal.

29 (d) Known to have an interest that could be substantially
30 affected by the outcome of the appraisal.

31 (e) An immediate family member that has a legally sufficient
32 reason that requires the appraiser to withdraw from the
33 appraisal.

34 3. An appraiser shall postpone an appraisal for a reasonable
35 amount of time if any party demonstrates reasonable cause for

1 a postponement. The appraiser shall notify all parties if
2 the appraisal process is postponed. An appraiser's failure
3 to timely notify all parties may result in a penalty under
4 sections 522F.20 and 522F.21.

5 4. In the course of an appraisal, an appraiser shall
6 consider all information provided by the parties and any
7 other reasonably available evidence that is material to the
8 appraisal.

9 5. In the course of an appraisal, an appraiser shall
10 carefully decide all issues submitted for determination of the
11 amount of loss and actual cash value.

12 6. In the course of an appraisal, an appraiser shall provide
13 all parties a fair and reasonable itemized written appraisal
14 detailing the amount of loss and actual cash value.

15 7. In the course of an appraisal, an appraiser shall ensure
16 the appraiser's party is reasonably informed of all updates
17 throughout the appraisal process.

18 8. An appraiser shall not permit outside influence to affect
19 an appraisal.

20 9. An appraiser shall not allow a person other than the
21 umpire for the appraisal to determine differences between the
22 actual cash value and the amount of loss of each item on the
23 appraisal.

24 10. a. An appraiser shall not communicate directly or
25 indirectly with any of the following:

26 (1) An opposing party or representative of the opposing
27 party other than the opposing party's appraiser.

28 (2) The umpire, unless reasonable notice and opportunity
29 to participate in the communication is provided to an opposing
30 appraiser.

31 b. Notwithstanding paragraph "a", an appraiser may
32 communicate with an opposing party or an umpire in order to do
33 any of the following:

34 (1) Identify the party's counsel or experts.

35 (2) Discuss logistical matters, including the time and

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 place of a meeting or to make arrangements for the conduct
2 of the appraisal. The appraiser initiating contact with the
3 umpire shall promptly inform an opposing appraiser.

4 (3) If an opposing appraiser fails to participate in a
5 meeting or conference call after receiving reasonable notice
6 and opportunity to participate, or if all parties agree
7 in writing in advance of a meeting or conference call, an
8 appraiser may discuss a claim with the umpire.

9 11. An appraiser shall not act as, or have ever acted as, an
10 adjuster or umpire on the same claim.

11 12. An appraiser shall not withdraw or abandon an appraisal
12 unless compelled by unforeseen circumstances that would render
13 it impossible or impracticable for the appraiser to continue.

14 13. During the appraisal process, an appraiser may hire
15 an outside expert to provide subject matter expertise as
16 necessary.

17 Sec. 63. NEW SECTION. 522F.8 Umpire license — eligibility.

18 1. An individual shall not act as, or represent that the
19 individual is, an umpire in this state unless the individual
20 is licensed under this chapter. An individual that acts as an
21 umpire in this state solely for a crop hail or multiperil crop
22 insurance claim shall not be subject to this chapter.

23 2. An individual applying for an umpire license shall submit
24 an application on a uniform individual application in the form
25 and manner prescribed by the commissioner.

26 3. To be eligible for licensure under this chapter, an
27 individual shall meet all of the following criteria:

28 a. Unless waived by the commissioner based on the
29 individual's other professional qualifications, have a minimum
30 of three years' experience as any of the following:

31 (1) A professional engineer licensed under chapter 542B or
32 similarly licensed in another state.

33 (2) An architect licensed under chapter 544A or similarly
34 licensed in another state.

35 (3) An adjuster licensed under chapter 522C or similarly

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

1 licensed in another state.

2 (4) An appraiser licensed under this chapter or similarly
3 licensed in another state.

4 (5) An attorney licensed in this state, or another state,
5 with experience in first-party property damage litigation.

6 (6) An insurance regulator.

7 b. Pass a written examination as prescribed by the
8 division. The examination shall test the knowledge of the
9 individual concerning the appraisal process, the duties and
10 responsibilities of an umpire, and the insurance laws and rules
11 of this state. Examination results shall be valid for ninety
12 calendar days from the date of examination.

13 c. Have the requisite character and competence, as
14 determined by the division.

15 4. To determine an applicant's eligibility for licensure,
16 the commissioner may require a criminal history check pursuant
17 to section 522B.5A.

18 Sec. 64. NEW SECTION. 522F.9 Umpires — licensure, license
19 renewal, and fees.

20 1. An individual who meets the requirements of section
21 522F.8, unless otherwise denied licensure pursuant to section
22 522F.20, shall be issued an umpire license that is valid for
23 two years from the date of issue.

24 2. Any applicable fee for a criminal history check pursuant
25 to section 522B.5A.

26 3. The fee for an initial umpire license, or renewal of an
27 umpire license, shall be fifty dollars for a two-year license.

28 4. The fee for reinstatement of an expired umpire license
29 shall be one hundred dollars.

30 5. The fee for a reinstatement or reissuance of an umpire
31 license suspended or revoked due to a disciplinary action shall
32 be one hundred dollars.

33 6. An umpire's license shall contain the licensee's name,
34 business address, umpire license number, the date of issuance,
35 the expiration date, and any other information the division

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

65/92

1 deems necessary.

2 7. An umpire licensed under this chapter shall be required
3 to complete continuing education requirements, as prescribed
4 by the division to be eligible for license renewal or
5 reinstatement.

6 8. An umpire licensed under this chapter shall inform the
7 division, in the manner and form specified by the division,
8 of a change of legal name or business address within thirty
9 calendar days of the change. Failure to timely inform the
10 division may result in a penalty as specified in sections
11 522F.20 and 522F.21.

12 9. The division shall publish an umpire list on the
13 division's internet site in a manner that is readily available
14 to the public. The umpire list shall include all of the
15 following information for each licensed umpire:

16 a. The business telephone number, business mailing address,
17 business email address, and the county and state of residence
18 of the umpire as provided to the division by the umpire for
19 licensure.

20 b. The umpire's area of training and expertise.

21 c. The date of the umpire's initial licensure and the date
22 the license expires.

23 **Sec. 65. NEW SECTION. 522F.10 Umpire license reinstatement**
24 **— not related to disciplinary action.**

25 1. An umpire may apply for reinstatement of an expired
26 license up to one year after the license expiration date
27 by submitting a request through the NIPR gateway, paying a
28 reinstatement fee, and submitting evidence to the division that
29 the umpire met the continuing education requirements under
30 section 522F.9. An umpire who fails to apply for license
31 reinstatement within one year of the date of expiration of the
32 umpire's license must apply for a new license.

33 2. An umpire who surrendered a license, not in connection
34 with a disciplinary matter, and stated an intent to exit the
35 umpire business, may file a request with the division to

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

66/92

1 reactivate the umpire license. The request must be received
2 by the division within ninety calendar days of the date the
3 umpire's license was placed on inactive status. The request
4 shall be granted if the former umpire is otherwise eligible
5 to receive an umpire license. If the umpire's request to
6 reactivate the umpire's license is not received within ninety
7 calendar days of the date the license was placed on inactive
8 status, the umpire must apply for a new license.

9 3. An umpire whose license is suspended, revoked, or
10 forfeited in connection with a disciplinary matter, or
11 forfeited in lieu of compliance, shall not be eligible for
12 reinstatement under this section and must follow the procedures
13 in section 522F.22.

14 Sec. 66. NEW SECTION. 522F.11 Umpires — payment.

15 1. In addition to the costs each party is responsible
16 for under section 522F.6, each party to an appraisal that
17 requires an umpire shall be responsible for an equal share of
18 all reasonable and necessary fees and expenses incurred by the
19 umpire.

20 2. If the parties settle before the appraisers direct the
21 umpire to begin work, the umpire shall not charge a fee.

22 3. An umpire shall not charge any party on a basis dependent
23 on the outcome of the written itemized award, or charge in a
24 manner that relies on a barter arrangement, gift, favor, or
25 in-kind exchange.

26 4. Prior to the conclusion of an appraisal process via
27 final settlement, or issuance of a written itemized award by
28 an umpire, an umpire shall not require, demand, or accept
29 any fee, retainer, compensation, deposit, or other type of
30 consideration, unless the loss is being handled by the umpire
31 on a time-plus-expense basis.

32 5. An umpire shall not charge, and is not entitled to, a
33 fee, compensation, deposit, or other type of consideration if
34 the umpire abandons the appraisal prior to the umpire issuing a
35 written itemized award.

1 Sec. 67. NEW SECTION. **522F.12 Umpires — objections.**

2 A party or appraiser that objects for good cause to a
3 selected umpire within the time limit specified in section
4 522F.14, subsection 3, paragraph “b”, shall send the objection
5 to all parties involved in the appraisal and, if applicable, to
6 the judge who appointed the umpire from the umpire list under
7 section 522F.14, subsection 3, paragraph “d”. A copy of the
8 objection shall be sent to the division electronically in the
9 form and manner prescribed by the commissioner. The objection
10 shall include all of the following information:

11 1. The names of all parties involved in the dispute.

12 2. The name of the person submitting the objection.

13 3. The insurer’s claim number.

14 4. The name of the umpire that the party or appraiser
15 objects to.

16 5. An explanation of the good cause basis for the objection.

17 Sec. 68. NEW SECTION. **522F.13 Umpires — standards of**
18 **conduct.**

19 1. An umpire shall act with due diligence, including but
20 not limited to demonstrating accuracy, fairness, and timeliness
21 throughout an appraisal process.

22 2. *a.* (1) No later than three business days after being
23 hired by the parties to an appraisal and before beginning work
24 as an umpire to the appraisal, an umpire shall disclose to all
25 parties to the appraisal any potential conflict of interest.
26 If a conflict of interest exists, the umpire shall withdraw
27 from the appraisal.

28 (2) An umpire shall not engage in any act or practice that
29 is a conflict of interest during the appraisal.

30 (3) If a conflict of interest arises after the start of an
31 appraisal process, an umpire shall disclose the conflict of
32 interest to the parties and shall withdraw from the appraisal
33 process.

34 *b.* A conflict of interest shall include but is not limited
35 to the following:

1 (1) An umpire is a party to a lawsuit against any party to
2 an appraisal.

3 (2) An umpire is a party to, or a member or employee of
4 a law firm that represents a party to, a current lawsuit
5 involving an insurer that is party to the appraisal.

6 (3) An umpire has a personal open claim involving an insurer
7 that is a party to the appraisal.

8 (4) An umpire has a personal bias or prejudice against a
9 party.

10 (5) An umpire has personally investigated, prosecuted, or
11 advocated in connection with the appraisal.

12 (6) An umpire has acted as counsel to any party to an
13 appraisal within the two years immediately preceding the
14 appraisal.

15 (7) An umpire has a personal financial interest in the
16 outcome of the appraisal or any other significant interest
17 that could be substantially affected by the outcome of the
18 appraisal.

19 (8) A member of an umpire's immediate family is any of the
20 following:

21 (a) A party to the appraisal, or an officer, director, or
22 trustee of a party.

23 (b) A current employee of an appraiser or an adjuster to the
24 appraisal.

25 (c) A business entity licensed as an adjuster that adjusted
26 the loss at issue in the appraisal.

27 (d) Known to have an interest that could be substantially
28 affected by the outcome of the appraisal.

29 (e) An immediate family member that has a legally sufficient
30 reason that requires the umpire to withdraw from the appraisal.

31 3. Prior to beginning work as an umpire, an umpire shall
32 enter into a written contract with all parties to the appraisal
33 that requires the parties and the umpire to comply with this
34 section, and provides that each party shall pay costs as
35 required under section 522F.11.

1 4. An umpire shall not begin work on a claim until the
2 umpire receives each appraiser's differences in actual cash
3 value and amount of loss of each item of the claim, and written
4 approval from the parties for the umpire to begin work.

5 5. No later than three business days after receiving notice
6 of selection for an appraisal, an umpire shall send notice
7 to the parties and the appraisers that includes all of the
8 following:

9 a. A statement informing each party if the umpire is insured
10 by an insurer.

11 b. A statement informing each party of the party's
12 respective right to object to the umpire under section 522F.12.

13 6. An umpire shall address only issues in an appraisal that
14 the appraisers disagree on.

15 7. An umpire shall review all information submitted by the
16 appraisers and parties related to the dispute, including but
17 not limited to the itemized appraisals or estimates, supporting
18 documents, photographs, and diagrams. The umpire shall review
19 the differences between what each appraiser submitted and seek
20 agreement by the appraisers regarding the disputed issues.

21 8. An umpire shall allow each appraiser to a claim a fair
22 opportunity to present evidence and arguments regarding the
23 appraisal.

24 9. An umpire shall ask questions, or request documents or
25 other evidence, as the umpire deems necessary in the course of
26 an appraisal.

27 10. An umpire may accept either appraiser's scope,
28 quantity, value, or cost regarding an item in dispute, or
29 develop an independent decision on each item in dispute.

30 11. An umpire shall decide all matters in an appraisal
31 fairly, and shall exercise independent judgment and integrity.

32 12. An umpire shall prepare and distribute a written
33 itemized award pursuant to section 522F.16.

34 13. An umpire shall not visit the claimant's damaged
35 property without consent from all appraisers.

1 14. An umpire shall not withdraw or abandon an appraisal
2 unless compelled by unforeseen circumstances that would render
3 it impossible or impracticable for the umpire to continue on a
4 claim.

5 15. An umpire shall not attend or participate in settlement
6 discussions unless requested to do so by all parties.

7 16. An umpire shall not permit outside influences to affect
8 an appraisal.

9 17. An umpire shall not delegate the umpire's duty to decide
10 a claim to any other person.

11 18. Unless reasonable notice and opportunity to participate
12 in a communication is provided to an opposing party and the
13 opposing party's appraiser, an umpire shall not communicate,
14 directly or indirectly, with any party or appraiser regarding a
15 pending appraisal.

16 19. Unless reasonable notice and opportunity to participate
17 in a communication is provided to all parties, an umpire shall
18 not communicate, directly or indirectly, with any party, a
19 representative of any party, or any other person with a direct
20 or indirect interest in the claim, regarding an issue of fact
21 or law in the appraisal.

22 20. An umpire shall not act as, or have ever acted as, an
23 adjuster or appraiser on the same claim.

24 Sec. 69. NEW SECTION. **522F.14 Appraisal process.**

25 1. This section provides for the appraisal process if all
26 of the following apply:

27 a. The claimant's insurance policy is delivered, issued for
28 delivery, or renewed in this state.

29 b. The property that is the subject of the claimant's
30 claim is located in this state, or the dispute is subject to
31 jurisdiction in this state.

32 c. A claimant gave proper notice to the claimant's insurer
33 of a loss claim, and the claimant and insurer dispute the
34 actual cash value of the scope of loss, or the amount of loss
35 the insurer will pay, for the claimant's claim under the

1 claimant's policy. The claimant and the insurer must both
2 provide the other party with a scope of loss of a covered
3 peril, including a list stating separately the actual cash
4 value and the amount of claimed loss for each item.

5 *d.* The claimant or insurer demands in writing an appraisal.

6 2. Within twenty calendar days following either the
7 claimant's or insurer's receipt of the other party's written
8 demand for an appraisal, the claimant and the insurer
9 shall each select an appraiser from the appraiser list.

10 Upon selection, the appraiser shall attest in writing to
11 the selecting party that the appraiser is competent and
12 disinterested with regards to the appraisal in question.

13 3. *a.* Within fifteen calendar days of the selection of
14 appraisers pursuant to subsection 2, both appraisers shall
15 agree on an umpire from the umpire list.

16 *b.* A party or an appraiser may object to the agreed-upon
17 umpire for good cause pursuant to section 522F.12 no later
18 than five business days after the umpire has been selected. A
19 replacement umpire from the umpire list shall then be agreed
20 upon by both appraisers.

21 *c.* If both appraisers fail to agree on an umpire, either the
22 claimant or insurer shall immediately provide written notice
23 to the division, in the form and manner prescribed by the
24 division, and the division shall randomly select an umpire from
25 the umpire list and notify the parties.

26 *d.* If either appraiser requests that an umpire be selected
27 by a judge in the state in which the property that is the
28 subject of the claim is located, a judge shall give deference
29 to the randomly selected umpire from the umpire list by the
30 division unless either the claimant or the insurer provides
31 good cause for the judge to make an alternative selection from
32 the umpire list.

33 4. Within forty-five calendar days from the date the
34 umpire is selected, both appraisers shall appraise the loss,
35 stating separately the actual cash value and the amount of

1 loss for each item. Each appraiser shall submit separately
2 the appraiser's actual cash value and amount of loss of each
3 item, along with any supporting information, to the umpire.
4 Each appraiser shall also submit written authorization for the
5 umpire to commence the umpire's work.

6 5. No later than forty-five calendar days after receipt of
7 the actual cash value and amount of loss under subsection 4,
8 the umpire shall prepare and provide to the parties and each
9 appraiser a written itemized award showing the actual cash
10 value and amount of loss. The written itemized award shall
11 include but is not limited to all of the following:

12 a. Contact information for each appraiser and the umpire.
13 b. The insured's policy number and the insured's claim
14 number.
15 c. The date of the insured's loss.
16 d. The type of covered peril that caused the loss.
17 e. The date the umpire commenced work.
18 f. The legal name of the insurer.
19 g. The physical address of the property on which the insured
20 made a claim.
21 h. The date of the umpire's written itemized award.
22 i. (1) A description and itemization of the final written
23 itemized award by coverage type, including but not limited to:
24 (a) Coverage A — dwelling.
25 (b) Coverage B — other structures.
26 (c) Coverage C — personal property.
27 (2) The description and itemization by coverage type shall
28 include contested items that have been resolved, sublimits,
29 and other disputed items. Items, including but not limited
30 to items with sublimits, shall be separately noted to avoid
31 ambiguity in the final written itemized award.
32 j. The signature of the umpire and at least one appraiser.

33 6. Prior to the umpire issuing the written itemized award,
34 the parties may agree to conclude the appraisal process when
35 the parties reach a final settlement.

1 Sec. 70. NEW SECTION. **522F.15 Appraisal clause.**

2 All property insurance policies delivered, issued for
3 delivery, continued, or renewed in this state on or after
4 January 1, 2026, shall contain an appraisal clause that
5 complies with this chapter.

6 Sec. 71. NEW SECTION. **522F.16 Appraisal award.**

7 1. An appraiser and umpire shall act with due diligence in
8 achieving an appraisal award.

9 2. An insurer's payment of an appraisal award to an insured
10 shall be subject to the limits of coverage, and other terms and
11 conditions of the insured's policy, including reductions for
12 deductibles and prior payments. The insurer shall provide the
13 insured with an itemized and detailed written explanation of
14 the payment of the settlement, including an explanation of any
15 item that is specifically denied under the terms of the policy.
16 Unless otherwise agreed upon by the parties in writing, an
17 appraisal award shall be binding and paid by the insurer
18 within sixty calendar days of the written itemized award being
19 submitted to the insurer.

20 3. An insurer's motion to vacate an appraisal award for good
21 cause shall be filed within thirty calendar days from the date
22 the insurer receives the written itemized award in the court
23 of record.

24 Sec. 72. NEW SECTION. **522F.17 Reporting of actions.**

25 1. An appraiser or umpire shall report to the commissioner
26 any administrative action taken against the appraiser or umpire
27 in another jurisdiction or by another administrative agency in
28 this state within thirty calendar days of the final disposition
29 of the matter. This report shall include a copy of the order,
30 consent to the order, and other relevant legal documents.

31 2. Within thirty calendar days of the initial pretrial
32 hearing date, an appraiser or umpire shall report to the
33 commissioner any criminal prosecution of the appraiser or
34 umpire taken in any jurisdiction. The report shall include a
35 copy of the initial complaint filed, the order resulting from

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 the hearing, and any other relevant legal documents.

2 3. An appraiser or umpire who willfully fails to comply with
3 this section is subject to penalty under section 522F.20.

4 Sec. 73. NEW SECTION. **522F.18 Records — appraisers and**
5 **umpires.**

6 1. An appraiser or umpire shall have a continuing duty and
7 obligation to keep, at the appraiser's or umpire's place of
8 business, usual and customary records pertaining to appraisals
9 undertaken by the appraiser or umpire. All such records
10 shall be kept available for inspection by the commissioner or
11 the commissioner's agent during regular business hours. The
12 commissioner or the commissioner's agent shall not be entitled
13 to inspect any records prepared in anticipation of litigation
14 or that are subject to any privilege recognized in chapter 622.
15 Such records shall be maintained for a minimum of three years
16 following the date of final claim resolution.

17 2. An appraiser or umpire who willfully fails to comply with
18 this section is subject to penalty under section 522F.20.

19 Sec. 74. NEW SECTION. **522F.19 Hearings — service of**
20 **process, attendance of witnesses, and production of documents.**

21 1. Whenever the commissioner believes that a person has
22 been engaged, or is engaging, in a violation of this chapter
23 or a rule adopted or an order issued under this chapter, and
24 that a proceeding by the commissioner would be in the public
25 interest, the commissioner shall issue and serve upon the
26 person a statement of the charges and a notice of a hearing on
27 the charges to be held at the time and place set in the notice,
28 which shall not be less than ten business days after the date
29 of service of such notice.

30 2. At the time and place of such hearing, the person shall
31 have an opportunity to be heard and to show cause why an order
32 should not be made by the commissioner requiring the person to
33 cease and desist from the violation of the chapter, rule, or
34 order. Upon a showing of good cause, the commissioner shall
35 permit any person, by counsel or in person, to intervene,

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 appear, and be heard at such hearing.

2 3. A hearing under this section shall not be required to
3 observe formal rules of pleading or evidence.

4 4. The commissioner, at a hearing under this section, may
5 administer oaths, examine and cross-examine witnesses, receive
6 oral and documentary evidence, and may subpoena witnesses,
7 compel their attendance, and require the production of books,
8 papers, records, correspondence, or other documents which the
9 commissioner deems relevant. The commissioner may, and upon
10 the request of any party shall, cause to be made a stenographic
11 record of the evidence and proceedings of a hearing under this
12 section. If no stenographic record is made and if a judicial
13 review is sought, the commissioner shall prepare a statement
14 of the evidence and proceeding for use on review. If a person
15 refuses to comply with a subpoena issued under this section,
16 or to testify to a matter for which the person may lawfully be
17 interrogated, the district court of Polk county or the district
18 court of the county where the person resides, on application of
19 the commissioner, may issue an order requiring such person to
20 comply with such subpoena or to testify. Failure of a person
21 to obey such order of the court may be punished by the court as
22 contempt.

23 5. Statements of charges, notices, orders, subpoenas, and
24 other processes of the commissioner under this chapter may be
25 served by anyone authorized by the commissioner, either in the
26 manner provided by law for service of process in civil actions,
27 or by mailing a copy by restricted certified mail to the person
28 affected by the statement, notice, order, subpoena, or other
29 process at the person's residence or principal office or place
30 of business. The verified return by the person serving the
31 statement, notice, order, subpoena, or other process, setting
32 forth the manner of such service, shall be proof of service,
33 and the return receipt for the statement, notice, order,
34 subpoena, or other process, mailed by restricted certified
35 mail, shall be proof of the service.

1 Sec. 75. NEW SECTION. 522F.20 License denial, nonrenewal,
2 or revocation — penalties.

3 1. The division may place on probation, suspend, revoke, or
4 refuse to issue or renew an appraiser's license or an umpire's
5 license, and may levy a civil penalty against an appraiser or
6 umpire as provided in section 522F.21, for one or more of the
7 following causes:

8 *a.* The appraiser or umpire provided incorrect, misleading,
9 incomplete, or materially untrue information in a license
10 application.

11 *b.* The appraiser or umpire violated an insurance law,
12 regulation, subpoena, or order of the commissioner or of a
13 commissioner of another state.

14 *c.* The appraiser or umpire obtained or attempted to obtain a
15 license through misrepresentation or fraud.

16 *d.* The appraiser or umpire improperly withheld,
17 misappropriated, or converted money or property received from
18 an insured in the course of doing business.

19 *e.* The appraiser or umpire was convicted of a felony.

20 *f.* The appraiser or umpire committed, or was found to have
21 committed, any unfair trade practice or fraud.

22 *g.* The appraiser or umpire used fraudulent, coercive,
23 or dishonest practices, or demonstrated incompetence,
24 untrustworthiness, or financial irresponsibility in the conduct
25 of business.

26 *h.* The appraiser or umpire had any professional license, or
27 its equivalent, denied, suspended, or revoked in this state or
28 any other state, province, district, or territory.

29 *i.* The appraiser or umpire forged another's name to any
30 document related to an appraisal.

31 *j.* The appraiser or umpire improperly used notes or any
32 other reference material to complete an examination for an
33 appraisal license or umpire license.

34 *k.* The appraiser knowingly negotiated as an appraiser with
35 an individual who is not, but is required to be, licensed as an

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 appraiser during an appraisal.

2 *l.* The umpire knowingly acted as an umpire during the
3 conduct of an appraisal with an individual who is not, but is
4 required to be, licensed as an appraiser during an appraisal.

5 *m.* The appraiser or umpire failed to comply with an
6 administrative or court order related to repayment of loans to
7 the college student aid commission.

8 *n.* The appraiser or umpire failed to pay state income tax or
9 comply with any administrative or court order directing payment
10 of state income tax.

11 *o.* The appraiser or umpire failed to comply with an
12 administrative or court order imposing a child support
13 obligation.

14 *p.* The appraiser or umpire failed or refused to cooperate
15 in an investigation conducted by the commissioner or the
16 commissioner's designee.

17 *q.* The appraiser or umpire used an appraiser license
18 or umpire license for the principal purpose of procuring,
19 receiving, or forwarding appraisals, or placing or affecting
20 such appraisals, directly or indirectly, on or in connection
21 with the property of the licensee or the property of a
22 relative, employer, or employee of the licensee, or upon or in
23 connection with property for which the licensee or a relative,
24 employer, or employee of the licensee is an agent, custodian,
25 vendor, bailee, trustee, or payee.

26 2. If the commissioner does not renew a license or denies an
27 application for a license, the commissioner shall notify the
28 applicant, appraiser, or umpire in writing of the reason for
29 the nonrenewal of the license or denial of the application for
30 a license. The applicant, appraiser, or umpire may request a
31 hearing on the nonrenewal or denial. The applicant, appraiser,
32 or umpire shall have thirty calendar days from the date of
33 receipt of the notice to file a written request for a hearing.
34 A hearing shall be conducted according to section 522F.19.

35 3. The license of an umpire, an appraiser, or an appraiser

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 business entity may be suspended, revoked, placed on probation,
2 or refused if the commissioner finds, after hearing, that an
3 umpire's, appraiser's, or appraiser business entity's violation
4 was known or should have been known by a partner, officer,
5 or manager of the business entity and the violation was not
6 reported to the commissioner and corrective action was not
7 taken.

8 4. In addition to, or in lieu of, denial, probation,
9 suspension, or revocation of a license under this section, an
10 appraiser or umpire, after hearing, may be subject to a civil
11 penalty as provided in section 522F.21.

12 5. The commissioner may enforce this chapter, may conduct
13 an investigation of any suspected violation of this chapter,
14 and may impose any penalty or remedy authorized by this chapter
15 against any person who is under investigation for, or charged
16 with, a violation of this chapter even if the person's license
17 has been surrendered or has lapsed by operation of law.

18 6. a. All complaint files, investigation files,
19 investigation reports, and other investigative information
20 in the possession of the commissioner or the commissioner's
21 agents that relates to appraiser or umpire discipline shall
22 be privileged and confidential, and shall not be subject
23 to discovery, subpoena, or other means of legal compulsion
24 for release to a person other than the appraiser or umpire,
25 and shall not be admissible in evidence in a judicial or
26 administrative proceeding other than the proceeding involving
27 the appraiser or umpire discipline. A final written decision
28 of the commissioner in a disciplinary proceeding shall be a
29 public record.

30 b. Investigative information in the possession of the
31 commissioner or the commissioner's agent that relates to
32 appraiser or umpire discipline may be disclosed at the
33 discretion of the commissioner. The commissioner may
34 share documents, materials, or other information, including
35 confidential and privileged documents, materials, or

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 information under this subsection with other state, federal,
2 and international regulatory agencies, with NAIC and its
3 affiliates or subsidiaries, and with state, federal, and
4 international law enforcement authorities, provided that the
5 recipient agrees to maintain the confidentiality and privileged
6 status of the document, material, or other information.

7 *c.* If the investigative information in the possession of the
8 commissioner or the commissioner's agents indicates a crime has
9 been committed, the information shall be reported to the proper
10 law enforcement agency.

11 7. *a.* Pursuant to section 17A.19, subsection 6, upon an
12 appeal by the appraiser or umpire, the commissioner shall
13 transmit the entire record of the contested case to the
14 reviewing court.

15 *b.* Notwithstanding section 17A.19, subsection 6, if a
16 waiver of privilege has been involuntary and evidence has been
17 received at a disciplinary hearing, the court shall issue
18 an order to withhold the identity of the individual whose
19 privilege was waived.

20 Sec. 76. NEW SECTION. 522F.21 Civil and criminal penalties.

21 1. *a.* Upon a determination by the commissioner, after
22 a hearing conducted pursuant to chapter 17A, that a person
23 violated this chapter, the commissioner shall reduce the
24 findings of the hearing to writing and deliver a copy of the
25 findings to the person.

26 *b.* Upon a determination by the commissioner that a person
27 has engaged, is engaging, or is about to engage in any act or
28 practice constituting a violation of this chapter or a rule
29 adopted or order issued under this chapter, the commissioner
30 may take the following actions:

31 (1) Issue an order requiring the person to cease and desist
32 from engaging in the conduct resulting in the violation.

33 (2) Assess a civil penalty against the person of not more
34 than one thousand dollars for each violation not to exceed an
35 aggregate of ten thousand dollars.

1 (3) If the person knew or reasonably should have known the
2 person was in violation of this chapter, assess a civil penalty
3 of not more than five thousand dollars for each violation
4 of this chapter not to exceed an aggregate penalty of fifty
5 thousand dollars in any one six-month period.

6 (4) (a) Issue a summary order, including a brief statement
7 of findings of fact, conclusions of law, and policy reasons for
8 the decision, and directing the person to cease and desist from
9 engaging in the act or practice or to take affirmative action
10 as is necessary in the judgment of the commissioner to comply
11 with the requirements of this chapter.

12 (b) A person may contest a summary order by filing,
13 within thirty calendar days from the date of the issuance of
14 the summary order, a written request for a contested case
15 proceeding and hearing as provided in chapter 17A and in
16 accordance with rules adopted by the commissioner. Section
17 17A.18A shall be inapplicable to a summary order issued under
18 this subsection. If a hearing is not requested within thirty
19 calendar days from the date of issuance of the summary order,
20 the summary order shall become final by operation of law. A
21 summary order shall remain effective from the date of issuance
22 until the date the order becomes final by operation of law,
23 or is modified or overturned by a presiding officer or court
24 following a request for hearing.

25 (c) A person violating a summary order issued under this
26 subsection shall be deemed in contempt of the summary order.
27 The commissioner may petition the district court to enforce the
28 order as certified by the commissioner. The district court
29 shall find the person in contempt of the order if the court
30 finds, after conducting a hearing, that the person is not
31 in compliance with the order. The court may assess a civil
32 penalty against the person and may issue further orders as the
33 court deems appropriate.

34 c. In addition to any other penalty under this section,
35 if the commissioner finds that a violation of this chapter

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 was directed, encouraged, condoned, ignored, or ratified by
2 the employer of the appraiser or umpire, the commissioner
3 shall assess a penalty to the employer. Penalties under this
4 paragraph may be retained by the commissioner under the fund
5 described in section 505.7, subsection 9.

6 2. a. A person acting as an appraiser or an umpire without
7 proper licensure, or an appraiser or an umpire who willfully
8 violates any provision of this chapter or an order issued
9 under this chapter, is guilty of a class "D" felony. If the
10 violation results in a loss of more than ten thousand dollars,
11 the appraiser or an umpire is guilty of a class "C" felony.

12 b. The commissioner may refer such evidence as is available
13 concerning a violation of this chapter, or of any rule adopted
14 or order issued under this chapter, or of the failure of a
15 person to comply with the licensing requirements of this
16 chapter, to the attorney general or the proper district
17 attorney who may institute the appropriate criminal proceedings
18 under this chapter.

19 c. This chapter shall not limit the power of the state to
20 punish any person for any conduct that constitutes a crime
21 under any other statute.

22 Sec. 77. NEW SECTION. 522F.22 Reinstatement or reissuance
23 of a license after disciplinary matters — forfeiture in lieu of
24 compliance.

25 1. a. A person licensed under this chapter as an appraiser
26 or umpire whose license has been revoked or suspended by order,
27 or who forfeited a license in connection with a disciplinary
28 matter, may apply to the commissioner for reinstatement
29 or reissuance in accordance with the terms of the order
30 of revocation or suspension, or the order accepting the
31 forfeiture, and submit to a criminal history check under
32 section 522B.5A.

33 b. (1) Proceedings for reinstatement or reissuance
34 shall be initiated by the applicant who shall file with the
35 commissioner an application for reinstatement or reissuance

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

82/92

1 after disciplinary action.

2 (2) An appraiser shall not be eligible for reinstatement or
3 reissuance until the appraiser satisfies the requirements under
4 section 522F.3 and pays any required fees. An appraiser may be
5 required to submit a new or renewal appraiser application under
6 section 522F.5.

7 (3) An umpire shall not be eligible for reinstatement or
8 reissuance until the umpire satisfies the requirements under
9 section 522F.8 and pays any required fees. An umpire may be
10 required to submit a new or renewal umpire application under
11 section 522F.10.

12 *c.* An application for reinstatement or reissuance shall
13 allege facts which, if established, are sufficient to enable
14 the commissioner to determine that the basis of revocation,
15 suspension, or forfeiture of the applicant's license no longer
16 exists, and must disclose if the applicant has engaged in
17 any conduct listed as a cause for licensing action that was
18 not included in the order for suspension, revocation, or
19 forfeiture.

20 *d.* An application for reinstatement or reissuance shall
21 allege facts which, if established, are sufficient to enable
22 the commissioner to determine that it is in the public
23 interest for the application to be granted. The commissioner
24 may determine that it is not in the public interest if the
25 applicant has engaged in any conduct listed as a cause for
26 licensing action that was not included in the order for
27 suspension, revocation, or forfeiture, or if the applicant does
28 not have the character and fitness to be a licensed appraiser
29 or umpire in this state.

30 *e.* The burden of proof to establish facts identified in
31 paragraphs "*c*" and "*d*" shall be on the applicant.

32 *f.* A person licensed as an appraiser or an umpire may
33 request reinstatement of a suspended license prior to the end
34 of the suspension term.

35 *g.* Unless otherwise provided by law, if an order of

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

1 revocation or suspension did not establish terms upon which
2 reinstatement or reissuance may occur, or if the license
3 was forfeited, an initial application for reinstatement or
4 reissuance shall not be made until at least one year from the
5 date of the order of the suspension, revocation, or acceptance
6 of the forfeiture of a license.

7 2. All proceedings upon the application for reinstatement
8 or reissuance, including preliminary and ancillary matters,
9 shall be held in accordance with chapter 17A. The application
10 shall be docketed in the original case in which the original
11 license was suspended, revoked, or forfeited, if the case
12 exists.

13 3. An order of reinstatement or reissuance shall be based
14 on a written decision which incorporates findings of fact
15 and conclusions of law. An order granting an application
16 for reinstatement or reissuance may impose such terms and
17 conditions as the commissioner or the commissioner's designee
18 deems appropriate, which may include one or more penalties
19 provided under this chapter. The order shall be a public
20 record and may be disseminated in compliance with chapter 22.

21 4. If an appraiser's or umpire's ordered suspension period
22 ends prior to the appraiser's or umpire's license expiration
23 date and the appraiser or umpire applies for reinstatement
24 prior to the license expiration date and meets all applicable
25 requirements, the division shall reinstate the license as soon
26 as practicable but no earlier than the end of the suspension
27 period if the division, after a complete review, determines the
28 license should be reinstated.

29 5. If an appraiser's or umpire's license is suspended beyond
30 the appraiser's or umpire's license expiration date, whether
31 due to an ordered suspension time period or failure to apply
32 for reinstatement prior to expiration, the appraiser or umpire
33 must apply for reissuance.

34 6. A submission of voluntary forfeiture of a license
35 shall be made in writing to the commissioner. Forfeiture of

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

84/92

1 a license is effective upon the date of submission unless a
2 contested case proceeding is pending on the date of submission.
3 If a contested case proceeding is pending, the forfeiture shall
4 become effective upon conditions as required by order of the
5 commissioner. A forfeiture made during the pendency of a
6 contested case proceeding shall be considered a disciplinary
7 action and shall be published in the same manner as is
8 applicable to any other form of disciplinary order.

9 7. The commissioner shall not be prohibited from denying
10 an application for reinstatement or reissuance, or bringing
11 an additional immediate action, if an appraiser or umpire
12 has engaged in an additional violation of chapter 507B or
13 this chapter or otherwise failed to meet all applicable
14 requirements.

15 8. This section shall not apply to reinstatement of an
16 expired license or issuance of a new license that is not in
17 connection with a disciplinary matter.

18 Sec. 78. NEW SECTION. 522F.23 **Suspension for failure to**
19 **pay child support or state debt.**

20 1. The commissioner shall deny an appraiser's or umpire's
21 application for license issuance, renewal, reinstatement,
22 or reissuance; suspend a current license; or revoke a
23 currently suspended license upon receipt of a certificate of
24 noncompliance from the child support recovery unit pursuant to
25 chapter 252J, or upon receipt of a certificate of noncompliance
26 from the centralized collection unit of the department of
27 revenue pursuant to chapter 272D.

28 2. Upon receipt of a certificate of noncompliance
29 under subsection 1, the commissioner shall issue a notice
30 to the appraiser or umpire that the division will, unless
31 the certificate of noncompliance is withdrawn, deny the
32 appraiser's or umpire's application for license issuance,
33 renewal, reinstatement, or reissuance, suspend the appraiser's
34 or umpire's current license, or revoke the appraiser's or
35 umpire's currently suspended license, thirty calendar days

1 after the date the notice is mailed. Notice shall be sent to
2 the appraiser's or umpire's last known address by restricted
3 certified mail, return receipt requested, or in accordance with
4 the division's rules for service. The notice shall contain all
5 of the following:

6 *a.* A statement that the commissioner intends to deny the
7 appraiser's or umpire's application for license issuance,
8 renewal, reinstatement, or reissuance; suspend the appraiser's
9 or umpire's current license; or revoke the appraiser's or
10 umpire's currently suspended license in thirty calendar days
11 unless the certificate of noncompliance is withdrawn.

12 *b.* A statement that the appraiser or umpire must contact the
13 agency that issued the certificate of noncompliance to request
14 a withdrawal.

15 *c.* A statement that the appraiser or umpire does not have a
16 right to a hearing before the division, but that the appraiser
17 or umpire may file an application for a hearing in district
18 court pursuant to section 252J.9 or 272D.9, as applicable, and
19 that the filing of an application by the appraiser or umpire
20 will stay the proceedings of the division.

21 *d.* A copy of the certificate of noncompliance.

22 3. An appraiser or umpire shall keep the commissioner
23 informed of all actions taken by the district court or
24 the issuing agency in connection with a certificate of
25 noncompliance. An appraiser or umpire shall provide to
26 the commissioner, within seven calendar days of filing or
27 issuance, a copy of all applications filed with the district
28 court pursuant to an application or hearing, all court orders
29 entered in such action, and all withdrawals of a certificate
30 of noncompliance.

31 4. If an applicant, appraiser, or umpire timely files an
32 application for hearing in district court and the division
33 is notified of the filing, the commissioner's denial,
34 suspension, or revocation proceedings shall be stayed until
35 the division is notified by the district court, the issuing

1 agency, the licensee, or the applicant of the resolution of
2 the application. Upon receipt of a court order lifting the
3 stay or otherwise directing the commissioner to proceed, the
4 commissioner shall continue with the intended action described
5 in the notice.

6 5. If the commissioner does not receive a withdrawal of
7 the certificate of noncompliance from the issuing agency,
8 or a notice from a clerk of court, the issuing agency, the
9 appraiser, the umpire, or the applicant that an application for
10 hearing has been filed within thirty calendar days after the
11 notice is issued, the commissioner shall deny the applicant's,
12 appraiser's, or umpire's application for license issuance,
13 renewal, reinstatement, or reissuance; suspend a current
14 license; or revoke a currently suspended license.

15 6. Upon receipt of a withdrawal of a certificate of
16 noncompliance from the issuing agency, suspension or revocation
17 proceedings shall halt and the named appraiser or umpire
18 shall be notified that the proceedings have halted. If the
19 appraiser's or umpire's license has already been suspended, the
20 appraiser or umpire must apply for reinstatement in accordance
21 with section 522F.22, and the license shall be reinstated
22 if the appraiser or umpire is otherwise in compliance with
23 this chapter. If the appraiser's or umpire's application for
24 licensure was stayed, application processing shall resume.

25 All fees required for license renewal, reinstatement, or
26 reissuance must be paid by an appraiser or umpire, and all
27 continuing education requirements shall be satisfied, before
28 the appraiser's or umpire's license is renewed or reinstated
29 after a license suspension or revocation under this chapter.

30 7. The commissioner shall notify an appraiser or umpire
31 in writing through regular first class mail, or such other
32 means as the commissioner deems appropriate under the
33 circumstances, within ten calendar days of the effective date
34 of the suspension or revocation of the appraiser's or umpire's
35 license, and shall also notify the appraiser or umpire when the

1 appraiser's or umpire's license is reinstated following the
2 commissioner's receipt of a withdrawal of the certificate of
3 noncompliance.

4 8. Notwithstanding any provision of law to the contrary, the
5 division may share information with the child support recovery
6 unit or the centralized collection unit of the department of
7 revenue for the sole purpose of identifying appraisers or
8 umpires subject to enforcement under chapter 252J or 272D.

9 Sec. 79. NEW SECTION. 522F.24 Severability.

10 If any provision of this chapter or the application thereof
11 to any person or circumstance is held invalid, the invalidity
12 does not affect other provisions or applications of this
13 chapter which can be given effect without the invalid provision
14 or application, and to this end the provisions of this chapter
15 are severable.

16 Sec. 80. CODE EDITOR DIRECTIVE. The Code editor shall
17 divide chapter 522F into subchapters and shall designate
18 sections 522F.1 through 522F.2, as enacted in this division
19 of this Act, as subchapter I entitled "General Provisions",
20 sections 522F.3 through 522F.7, as enacted in this division
21 of this Act, as subchapter II entitled "Appraisers", sections
22 522F.8 through 522F.13, as enacted in this division of this
23 Act, as subchapter III entitled "Umpires", sections 522F.14
24 through 522F.16, as enacted in this division of this Act, as
25 subchapter IV entitled "Appraisals", sections 522F.17 through
26 522F.18, as enacted in this division of this Act, as subchapter
27 V entitled "Duties of Licensees", and sections 522F.19 through
28 522F.23, as enacted in this division of this Act, as subchapter
29 VI entitled "Hearings and Penalties".

30 DIVISION VII

31 IOWA ECONOMIC EMERGENCY FUND — PROCLAMATION OF DISASTER
32 EMERGENCY

33 Sec. 81. Section 8.55, subsection 3, paragraph a, Code 2025,
34 is amended to read as follows:

35 a. Except as provided in paragraphs "b", "c", and "d",

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

88/92

1 and "f", the moneys in the Iowa economic emergency fund shall
2 only be used pursuant to an appropriation made by the general
3 assembly. An appropriation shall only be made for the fiscal
4 year in which the appropriation is made. The moneys shall
5 only be appropriated by the general assembly for emergency
6 expenditures.

7 Sec. 82. Section 8.55, subsection 3, Code 2025, is amended
8 by adding the following new paragraph:

9 NEW PARAGRAPH. f. (1) It is the intent of the general
10 assembly for this paragraph to enable the executive branch to
11 react to disasters impacting this state, including the ability
12 to protect citizens, safeguard property, ensure safety, and
13 provide for economic stability during disaster emergencies.

14 (2) For the fiscal year beginning July 1, 2025, and each
15 fiscal year thereafter, there is appropriated from the Iowa
16 economic emergency fund to the department of management ten
17 percent of the maximum balance of the Iowa economic emergency
18 fund as calculated for the immediately preceding fiscal
19 year, to be used for disaster response, disaster recovery
20 activities, or disaster aid to citizens. For purposes of this
21 subparagraph, *"disaster response, disaster recovery activities,*
22 *or disaster aid to citizens"* includes any of the following:

23 (a) Disaster aid provided to businesses engaged in disaster
24 recovery as described in chapter 15, subchapter II, part 13,
25 and housing businesses engaged in disaster recovery housing
26 projects as defined in section 15.354, subsection 6.

27 (b) Disaster recovery housing assistance provided under
28 chapter 16, subchapter VII, part 6.

29 (c) Support for programs under chapter 29C, including
30 support for the director of the department of homeland security
31 and emergency management in executing the director's powers and
32 duties under section 29C.8.

33 (d) Support for any other program through which disaster
34 response, recovery activities, or aid is effected, provided the
35 program is not inconsistent with the intent set forth in this

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

89/92

1 paragraph.

2 (3) The department of management's disbursements of
3 moneys appropriated to the department under this paragraph are
4 contingent upon all of the following:

5 (a) The issuance of a proclamation of disaster emergency by
6 the governor under section 29C.6, which proclamation covers the
7 disaster for which the moneys will be used.

8 (b) The disbursement occurs at the direction of the
9 governor, with the approval of the executive council, pursuant
10 to section 29C.6, subsection 18.

11 (4) Subject to the approval of the governor, the
12 department of management may provide for an interdepartmental
13 transfer of moneys appropriated in this paragraph to another
14 department or establishment for the purposes specified in
15 this paragraph, subject to the notification and reporting
16 requirements set forth in section 8.39, subsections 4 and 5,
17 but notwithstanding the other limitations and requirements of
18 section 8.39. Disbursements by the department of management
19 under this paragraph to another department or establishment
20 shall not be counted in calculating the aggregate amount of
21 intradepartmental and interdepartmental transfers under section
22 8.39, subsection 3.

23 (5) Moneys appropriated in this paragraph shall not
24 supplant other appropriated moneys.

25 (6) (a) Notwithstanding section 8.33, moneys disbursed by
26 the department of management under this paragraph to another
27 department or establishment shall not revert but shall remain
28 available for expenditure for the purposes designated until the
29 close of the succeeding fiscal year, at which time the moneys
30 shall revert to the Iowa economic emergency fund.

31 (b) Moneys not disbursed as described in subparagraph
32 division (a) shall revert to the Iowa economic emergency fund
33 at the close of the fiscal year for which the moneys were
34 appropriated, as required under section 8.33.

35 Sec. 83. Section 29C.6, Code 2025, is amended by adding the

HF 1012.1563 (1) 91

(amending this HF 1012 to CONFORM to SF 619)

nls/ko

90/92

